
MOODY'S



Investor Presentation

3Q 2016

November 2, 2016

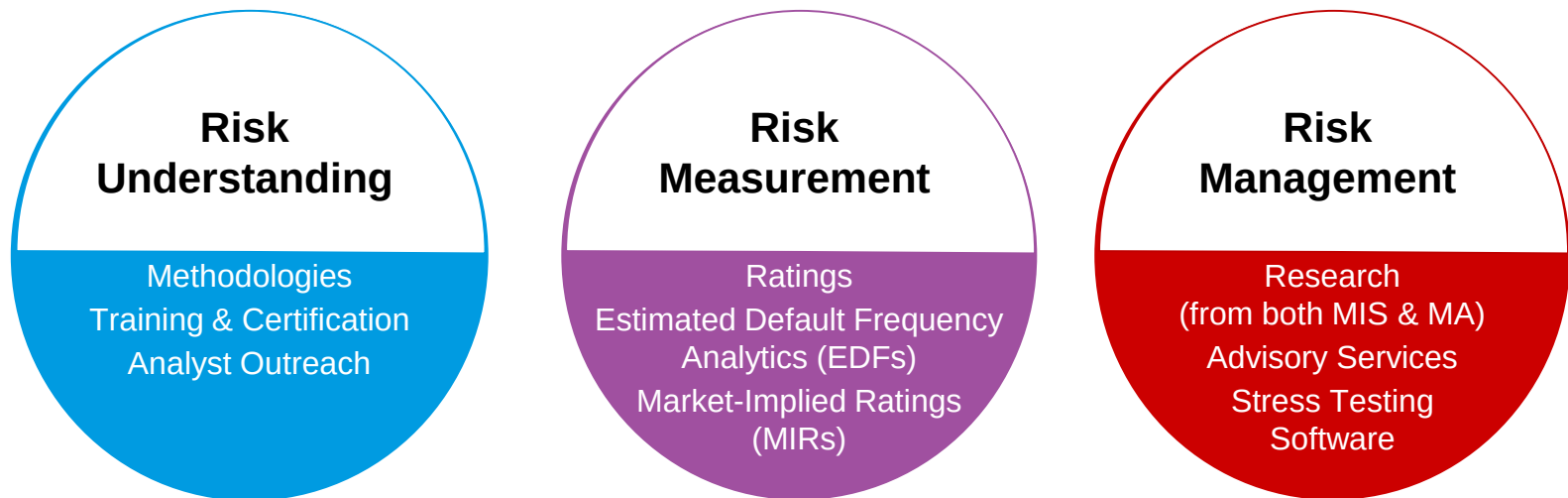
Disclaimer

Certain statements contained in this presentation are forward-looking statements and are based on future expectations, plans and prospects for Moody's business and operations that involve a number of risks and uncertainties. Moody's outlook for 2016 and other forward-looking statements in this presentation are made as of October 21, 2016, and the Company disclaims any duty to supplement, update or revise such statements on a going-forward basis, whether as a result of subsequent developments, changed expectations or otherwise. In connection with the "safe harbor" provisions of the Private Securities Litigation Reform Act of 1995, the Company is identifying certain factors that could cause actual results to differ, perhaps materially, from those indicated by these forward-looking statements. Those factors, risks and uncertainties include, but are not limited to, the current world-wide credit market disruptions and economic slowdown, which is affecting and could continue to affect the volume of debt and other securities issued in domestic and/or global capital markets; other matters that could affect the volume of debt and other securities issued in domestic and/or global capital markets, including regulation, credit quality concerns, changes in interest rates and other volatility in the financial markets such as that due to the UK's referendum vote whereby the UK citizens voted to withdraw from the EU; the level of merger and acquisition activity in the U.S. and abroad; the uncertain effectiveness and possible collateral consequences of U.S. and foreign government initiatives to respond to the current world-wide credit market disruptions and economic slowdown; concerns in the marketplace affecting our credibility or otherwise affecting market perceptions of the integrity or utility of independent credit agency ratings; the introduction of competing products or technologies by other companies; pricing pressure from competitors and/or customers; the level of success of new product development and global expansion; the impact of regulation as an NRSRO, the potential for new U.S., state and local legislation and regulations, including provisions in the Financial Reform Act and regulations resulting from that Act; the potential for increased competition and regulation in the EU and other foreign jurisdictions; exposure to litigation related to our rating opinions, as well as any other litigation, government and regulatory proceedings, investigations and inquiries to which the Company may be subject from time to time; provisions in the Financial Reform Act legislation modifying the pleading standards, and EU regulations modifying the liability standards, applicable to credit rating agencies in a manner adverse to credit rating agencies; provisions of EU regulations imposing additional procedural and substantive requirements on the pricing of services; the possible loss of key employees; failures or malfunctions of our operations and infrastructure; any vulnerabilities to cyber threats or other cybersecurity concerns; the outcome of any review by controlling tax authorities of the Company's global tax planning initiatives; exposure to potential criminal sanctions or civil remedies if the Company fails to comply with foreign and U.S. laws and regulations that are applicable in the jurisdictions in which the Company operates, including sanctions laws, anti-corruption laws, and local laws prohibiting corrupt payments to government officials; the impact of mergers, acquisitions or other business combinations and the ability of the Company to successfully integrate acquired businesses; currency and foreign exchange volatility; the level of future cash flows; the levels of capital investments; and a decline in the demand for credit risk management tools by financial institutions. These factors, risks and uncertainties as well as other risks and uncertainties that could cause Moody's actual results to differ materially from those contemplated, expressed, projected, anticipated or implied in the forward-looking statements are described in greater detail under "Risk Factors" in Part I, Item 1A of the Company's annual report on Form 10-K for the year ended December 31, 2015, and in other filings made by the Company from time to time with the SEC or in materials incorporated herein or therein. Stockholders and investors are cautioned that the occurrence of any of these factors, risks and uncertainties may cause the Company's actual results to differ materially from those contemplated, expressed, projected, anticipated or implied in the forward-looking statements, which could have a material and adverse effect on the Company's business, results of operations and financial condition. New factors may emerge from time to time, and it is not possible for the Company to predict new factors, nor can the Company assess the potential effect of any new factors on it.

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Moody's Mission: To be the World's Most Respected Authority Serving Risk-Sensitive Financial Markets



Moody's is an essential component of the global capital markets, providing credit ratings, research, tools and analysis that contribute to open and integrated financial markets

1

Financial Overview

Overview of Moody's Corporation

MOODY'S

- » Leading global provider of credit rating opinions, insight and tools for financial risk measurement and management
- » TTM 3Q16 revenue of \$3.5 billion; operating income of \$1.4 billion

MOODY'S
INVESTORS SERVICE

- » 65% of total MCO revenue
- » 84% of total MCO operating income



Independent provider of credit rating opinions and related information for over 100 years



MIS provides ratings in more than 120 countries¹



Ratings relationships with ~11,000 corporate issuers, ~20,000 public finance issuers and has rated and currently monitors ~68,000 structured finance obligations¹

MOODY'S
ANALYTICS

- » 35% of total MCO revenue
- » 16% of total MCO operating income



Research, data and software for financial risk analysis and related professional services



Customers in 140 countries²



4,700 institutional customers; business with 86 of top 100 global banks²

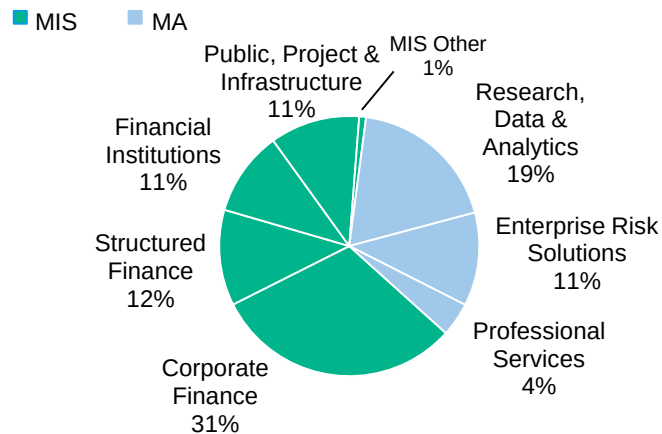
Note: All financial data is for the trailing twelve months ended September 30, 2016.

1 As of December 31, 2015.

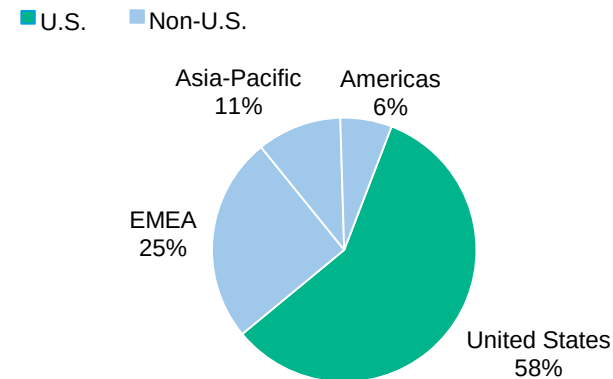
2 As of March 31, 2016.

Moody's Revenue is Diversified by Business, Geography and Type

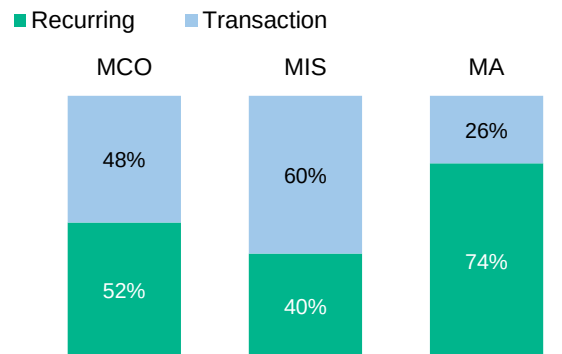
TTM 3Q16 Revenue by Business



TTM 3Q16 Revenue by Geography



TTM 3Q16 Revenue by Type



Note: All financial data is for the trailing twelve months ended September 30, 2016.

Long-term Growth Opportunities Intact Despite Near-term Macro Challenges

Debt market issuance driven by global GDP growth	Disintermediation of credit markets in both developed and emerging economies driving both issuance and demand for new products and services	Growth in Moody's Analytics driven by further penetration of MA's client base and expansion of bank and insurance risk regulatory requirements	MA and MIS pricing initiatives aligned with value; affected by business volumes and mix
~2-4%	~2-3%	~2-3%	~3-4%

Long-Term Revenue Growth Opportunity: High Single-Digit to Low Double-Digit % (on average)



Potential Selective Acquisitions¹



Potential Operating Income Margin Expansion



Ongoing Share Repurchases¹



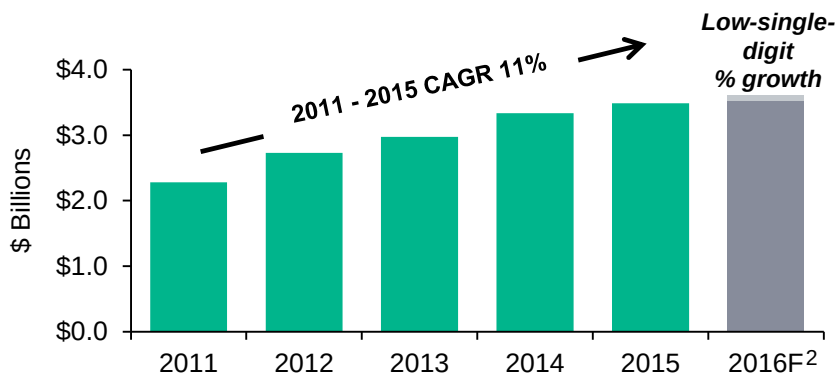
Long-Term EPS Growth Opportunity: Low-Teens to High-Teens % (on average)²

¹ Subject to market conditions and other ongoing capital allocation decisions.

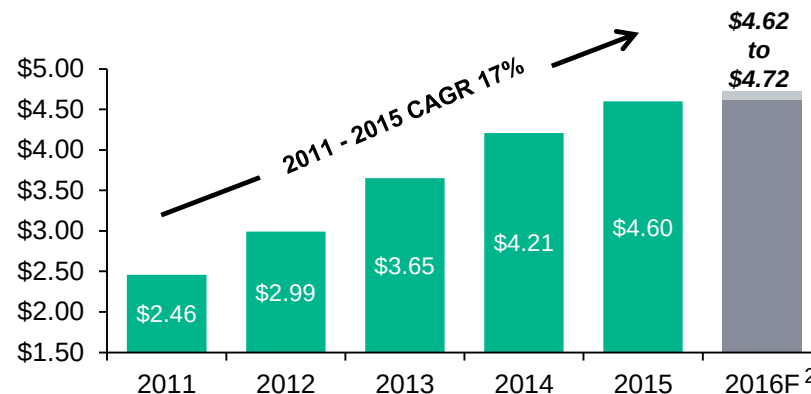
² Assumes no material change in effective tax rate, foreign exchange rates, leverage profile and/or capital allocation policy.

Consistently Delivered Strong Performance; 2016 More Challenging

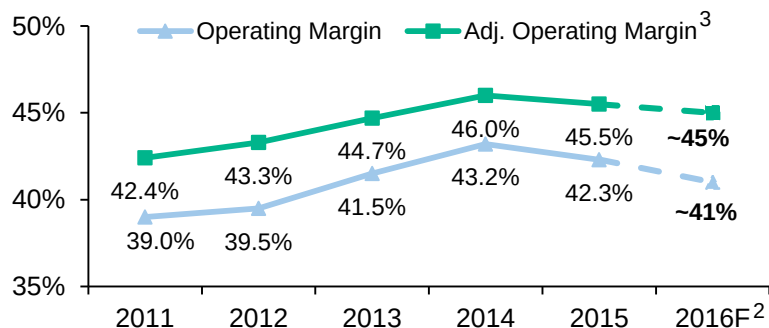
Revenue



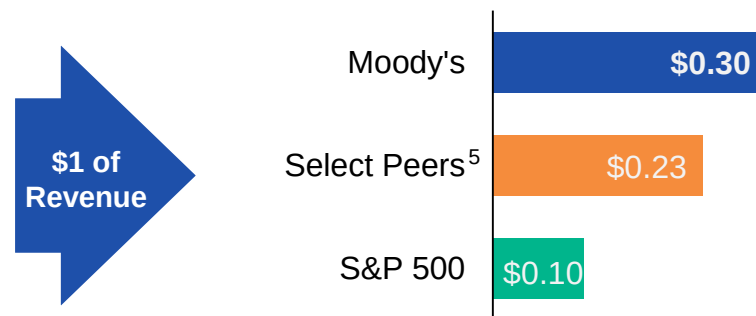
EPS¹



Operating Margin Performance



5-year Average Free Cash Flow Conversion⁴



¹ Represents Non-GAAP EPS. See appendix for reconciliation from Non-GAAP to GAAP.

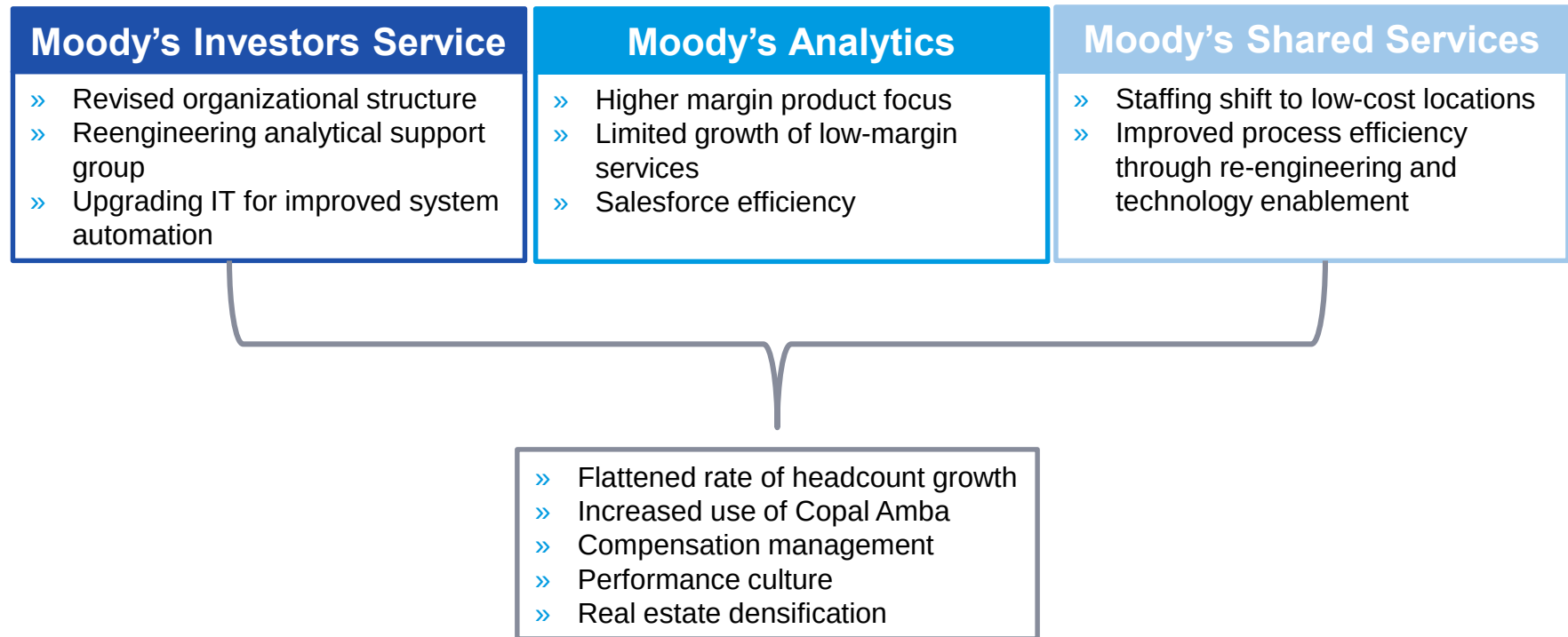
² Guidance as of October 21, 2016.

³ Adjusted Operating Margin is a Non-GAAP measure. See appendix for reconciliation from Non-GAAP to GAAP.

⁴ As of November 2016, over last five available years. Free Cash Flow is a Non-GAAP financial measure. Source: FactSet.

⁵ Includes CLGX, DNB, EXPN, FDS, IHS, MORN, MSCI, SPGI, TRI and VRSK.

All Areas of the Company Undertaking Actions to Actively Manage Expense Growth



Expense and best practice initiatives to help drive MCO operating margin to the mid-40s % range over the next several years

Moody's has a Disciplined Approach to Capital Allocation

Investing in Growth Opportunities

Reinvestment

- » Invest in existing businesses to support organic growth
- » FY 2016 capex guidance: ~\$120 million¹

Acquisitions

- » Aligned with strategy
- » Opportunistic; ideally able to use offshore cash

Return of Capital

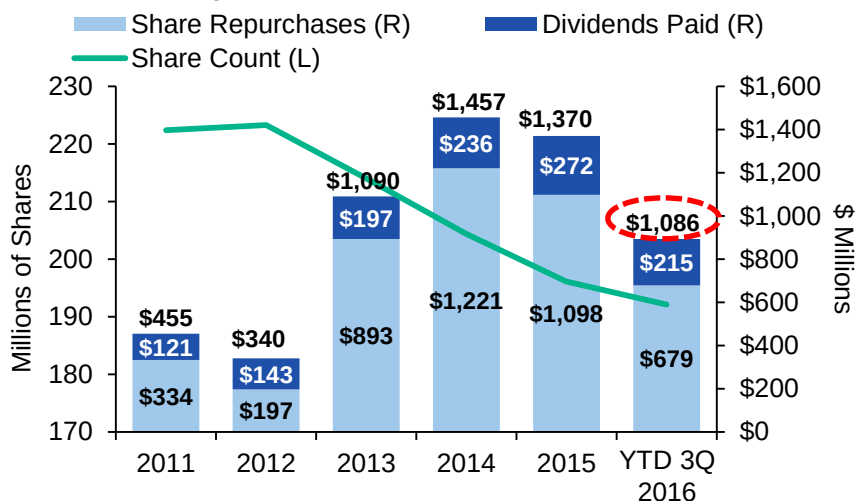
Dividends

- » Payout ratio potential is 25% - 30% of net income at current leverage²
- » TTM 3Q 2016 payout ratio was ~30%³

Share Repurchases

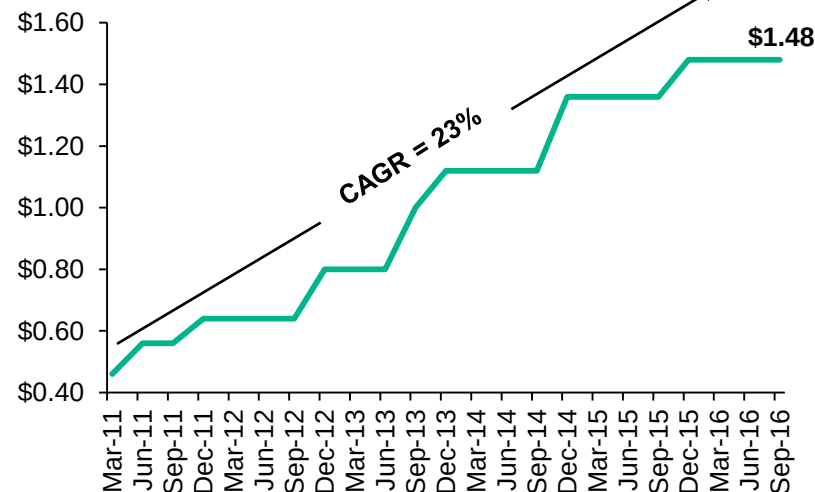
- » FY 2016 share repurchase guidance: ~\$750 million^{1,4}
- » Average annualized net share count reduction of ~3% from 2011 to 3Q 2016
- » YTD 2016 average repurchase price⁵ of \$95.51

Share Repurchases and Dividends Paid



Annualized Dividend Per Share

(Last 5 Years)



¹ Guidance as of October 21, 2016.

² Assumes continued balance of return of capital between dividends and share repurchase subject to available cash, market conditions and other ongoing capital allocation decisions.

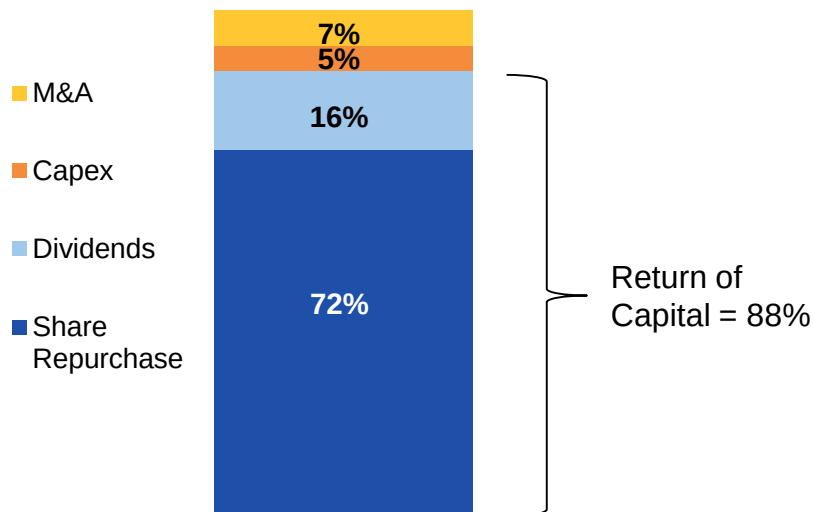
³ Dividend payout ratio is defined as dividends per share/Non-GAAP EPS.

⁴ Guidance as of October 21, 2016 (subject to available cash, market conditions and other ongoing capital allocation decisions).

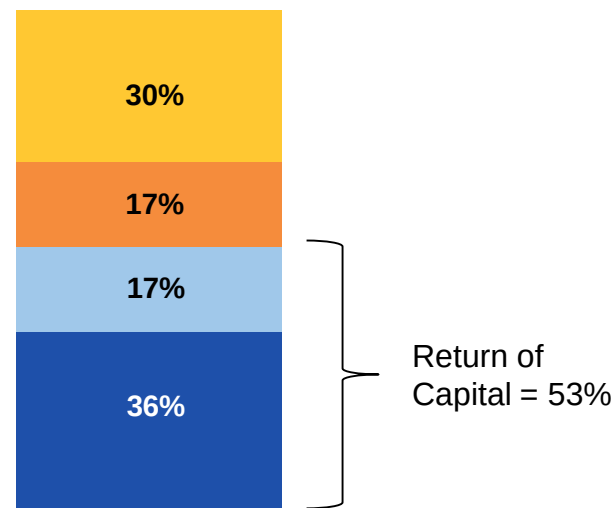
⁵ Year-to-date as of September 30, 2016.

Moody's has Returned ~\$5 Billion to Shareholders Since 2013

Moody's (2013 – 2016 YTD¹)



Peer Group Average (2013 – 2016 YTD²)



1 Year-to-date as of September 30, 2016.

2 Data for DNB, EXPN, SPGI, TRI and VRSK as of June 30, 2016; data for CLGX, FDS, INFO, MORN and MSCI as of September 30, 2016.

Source: FactSet. Peer group includes: CLGX, DNB, EXPN, FDS, INFO, MORN, MSCI, SPGI, TRI, VRSK.

Overview of 2016 Transactions

		Full Year 2016 EPS Impact
	» Automated financial data collection and business intelligence solutions for the SME market » Broadens scope of MA's technology-enabled SME credit risk solutions » Moody's Analytics Risk Quality (MARQ) Score has been well received	N/A
	» Advanced actuarial software for the global life insurance industry » Enhances MA's insurance risk offerings and analytical capabilities » Significantly expands presence in the insurance analytics market	(\$0.02)
	» Domestic credit ratings in Korea » Expands MIS presence in Korea and exposure to the AsiaPacific credit ratings markets » KIS has been Moody's Korea-based credit rating affiliate since 2001	N/A
	» Credit rating agency based in Hamburg, Germany » Leverages Moody's ratings methodology and EH's expertise in analyzing trade credit » Collaboration will launch new SME credit ratings services in Germany in early 2017	N/A

Full Year 2016 Guidance as of October 21, 2016

» Revenue:	Increase in the low-single-digit % range
» Operating Expenses:	Increase in the mid-single-digit % range
» Operating Margin:	Approximately 41%
» Adjusted Operating Margin¹:	Approximately 45%
» Effective Tax Rate:	31% - 31.5%
» GAAP Earnings Per Share:	\$4.76 - \$4.86
» Non-GAAP Earnings Per Share¹:	\$4.62 - \$4.72
» Share Repurchases:	Approximately \$750 million (subject to available cash, market conditions and other ongoing capital allocation decisions)
» Capital Expenditures:	Approximately \$120 million
» Depreciation & Amortization:	Approximately \$130 million
» Free Cash Flow¹:	Approximately \$1 billion

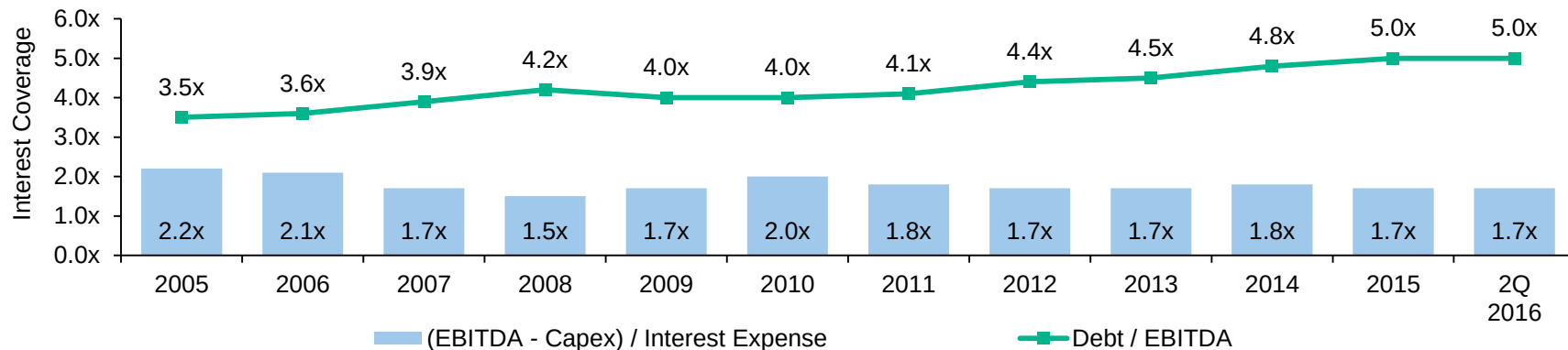
¹ Amount is a Non-GAAP measure. See Appendix for a reconciliation of this Non-GAAP measure to its comparable U.S. GAAP measure.

2

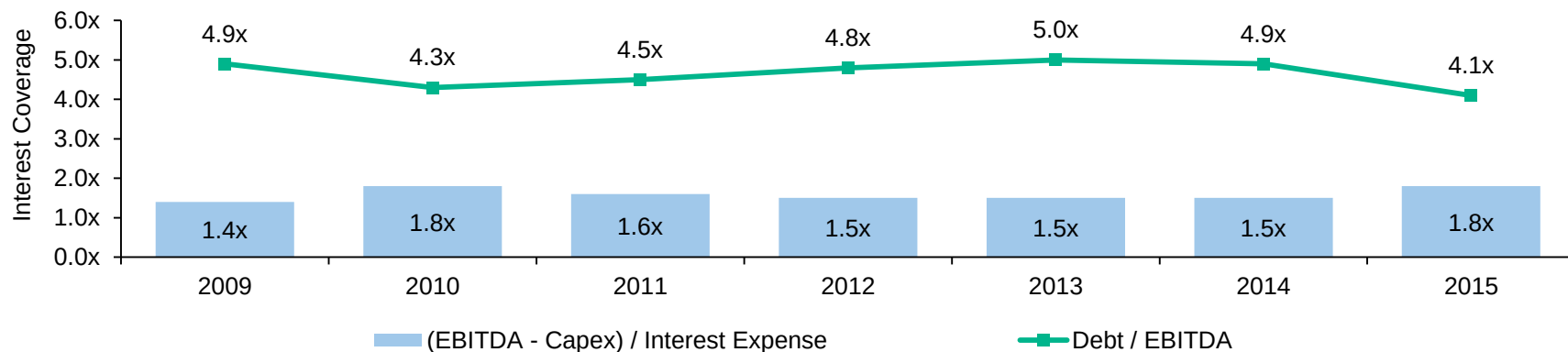
Capital Markets Overview

Debt Leverage up in North America but Down in Europe; Interest Coverage Remains Reasonable

Credit Metrics: North American Speculative Grade Companies



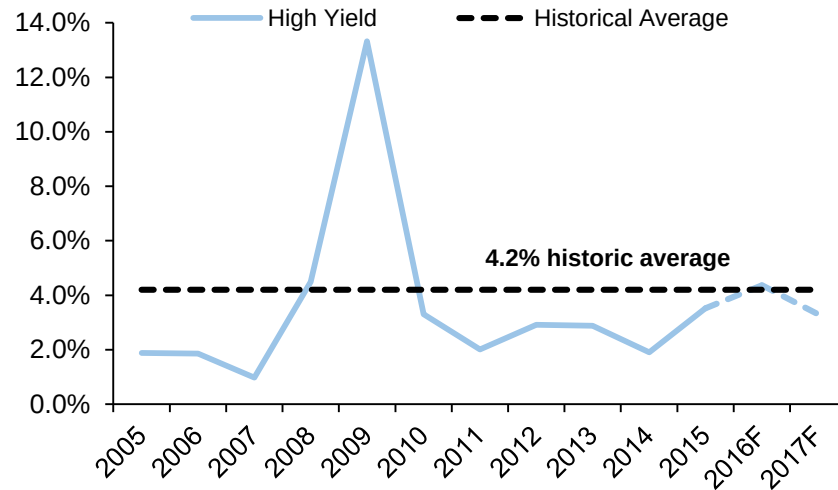
Credit Metrics: European Speculative Grade Companies



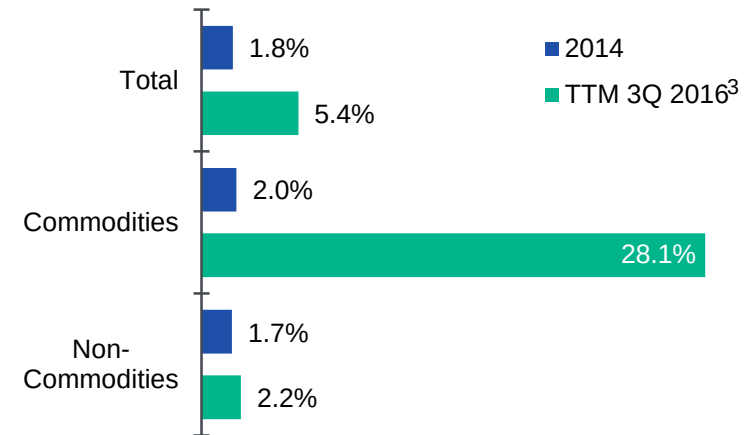
Source: Moody's Investors Service.

Outside of Commodities, Default Rates are Contained

Default Rates for Global Corporate Rated Issuance¹



U.S. Speculative Grade Default Rates²



- » Global speculative-grade default rate expected to finish 2016 at 4.4% before settling back to 3.3% in September 2017, helped by improved market conditions and fewer commodity defaults

¹ Moody's rated corporate global speculative grade default historical average of 4.2% since 1983. 2016 and 2017 forecasts for trailing twelve months ended December 31, 2016 and September 30, 2017, respectively.

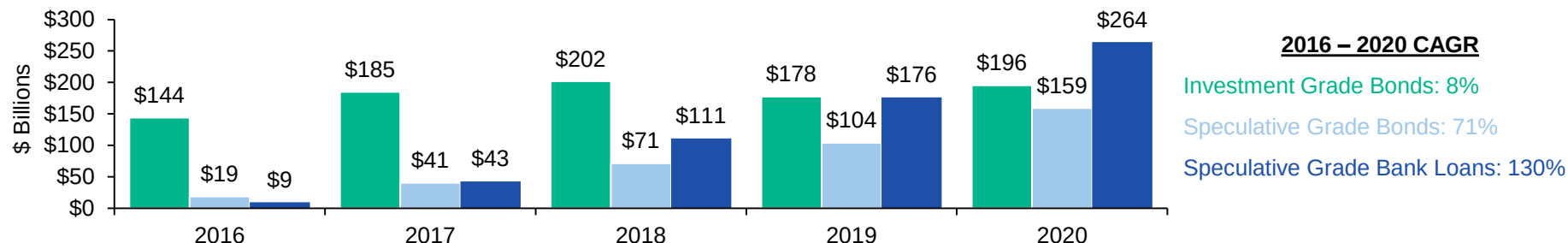
² Commodities sector includes Oil & Gas and Metals & Mining.

Source: Moody's Investors Service.

³ Trailing twelve months ending September 30, 2016.

North America and EMEA Non-Financial Corporates Have ~\$3.1 Trillion of Refunding Needs¹

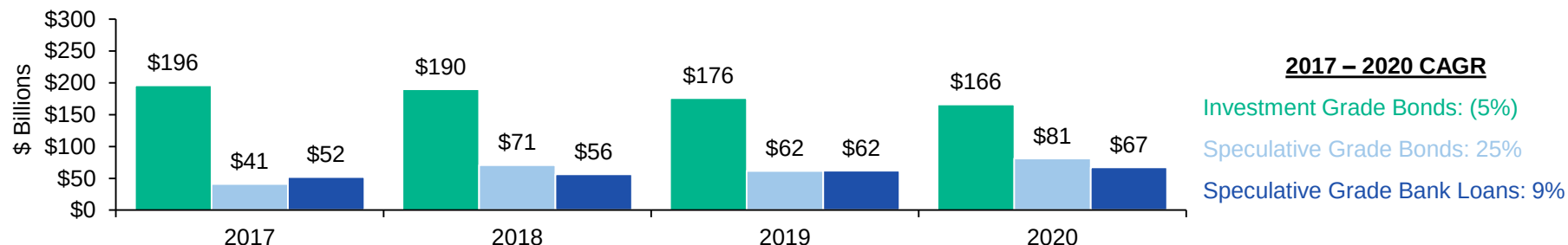
Debt Maturities: North America Moody's-Rated Corporate Bonds and Loans



Source: MIS, February 2016.

Note: Data represents U.S. & Canadian MIS rated corporate bonds & loans.

Debt Maturities: EMEA Moody's-Rated Corporate Bonds and Loans



Source: MIS, July 2016.

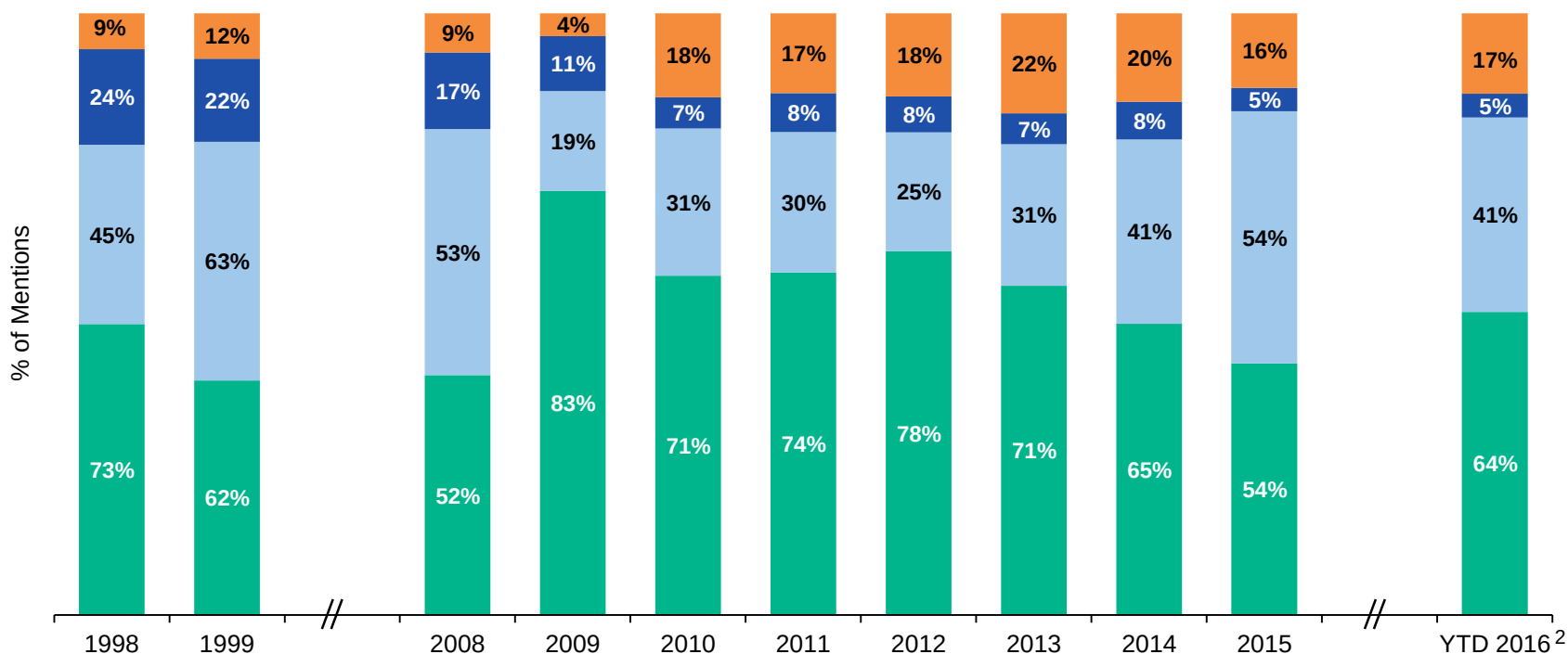
Investment Grade Bonds Speculative Grade Bonds Speculative Grade Bank Loans

¹ Amount reflects total maturities identified in the above sources.

Debt Refinancing and M&A are Most Frequently Stated Uses of Proceeds

Uses of Funds from USD High Yield Bonds and Bank Loans¹

■ Debt Refinancing ■ M&A ■ Capital Spending ■ Shareholder Payments



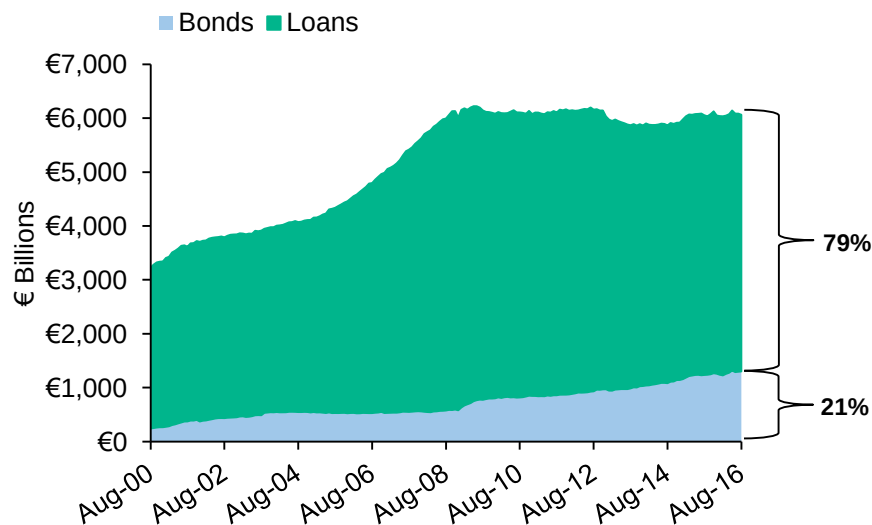
¹ % of mentions for each respective period in bond issue or bank loan program tranche documents. Excludes issues of less than \$25 million and general corporate purposes. An issue can have multiple purposes and, as a result, %'s do not sum to 100%.

² As of September 30, 2016.

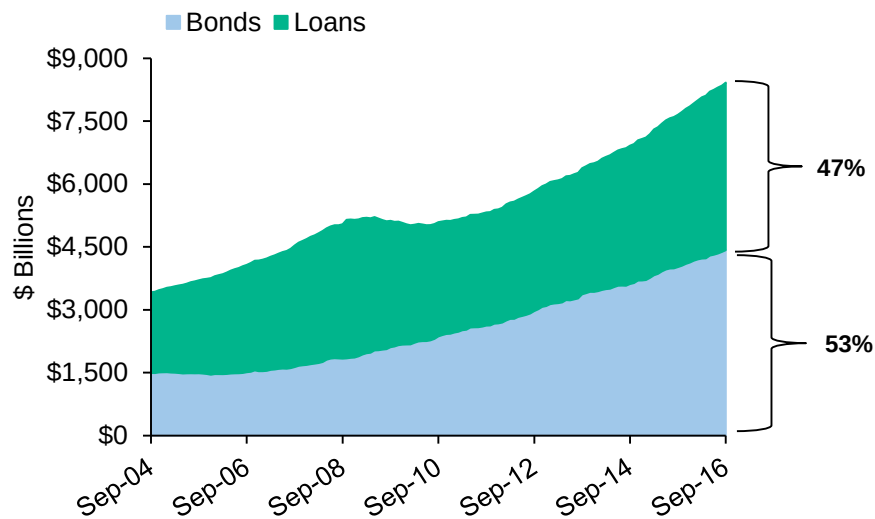
Source: Moody's Capital Markets Research Group (CMRG).

Disintermediation of Credit is an Ongoing Trend in the Global Capital Markets

European Non-Financial Corporate Bonds vs. Bank Loans Outstanding



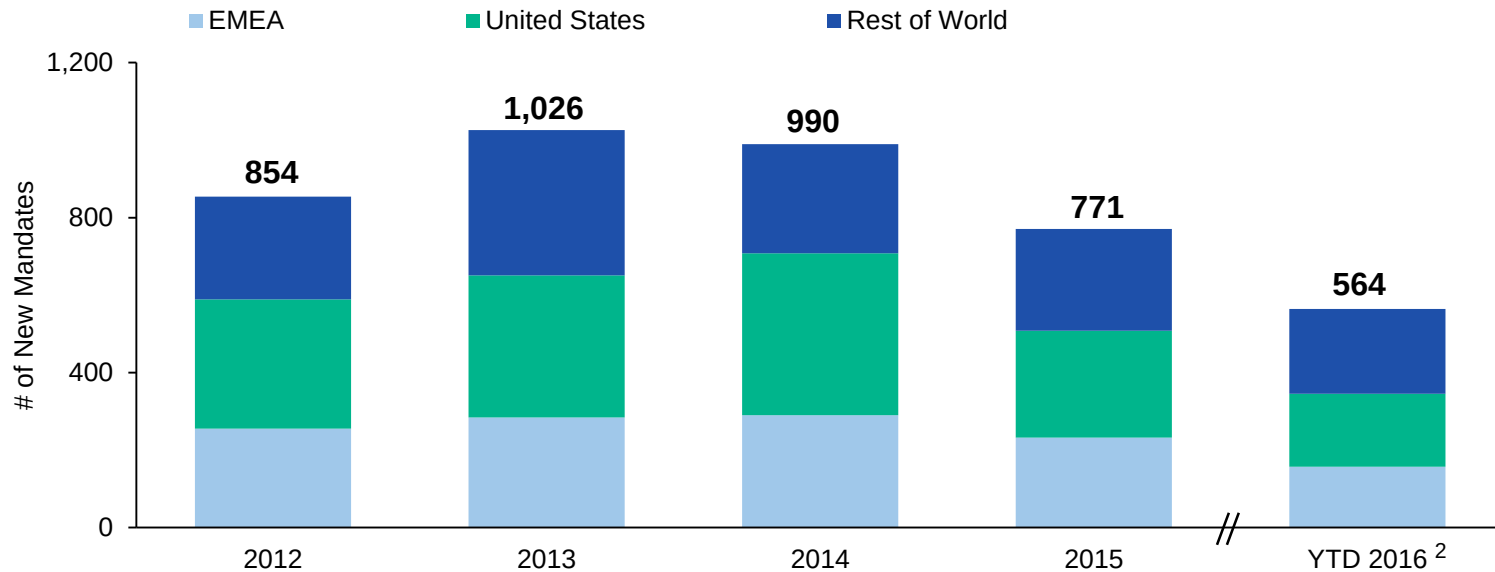
U.S. Non-Financial Corporate Bonds vs. Bank Loans Outstanding



Sources: ECB, Federal Reserve, BarCap Indices. Europe bank loan data includes Eurozone and UK bank loans. Europe bond data includes euro and sterling denominated bonds. European data is through August 2016. U.S. data is through September 2016.

Disintermediation is a Key Driver of Moody's Global New Rating Mandates

Global New Rating Mandates¹



» In 3Q 2016, Moody's new rating mandates increased to 227, up 24% from 183 in 2Q 2016

¹ Rated by Moody's Investors Service.

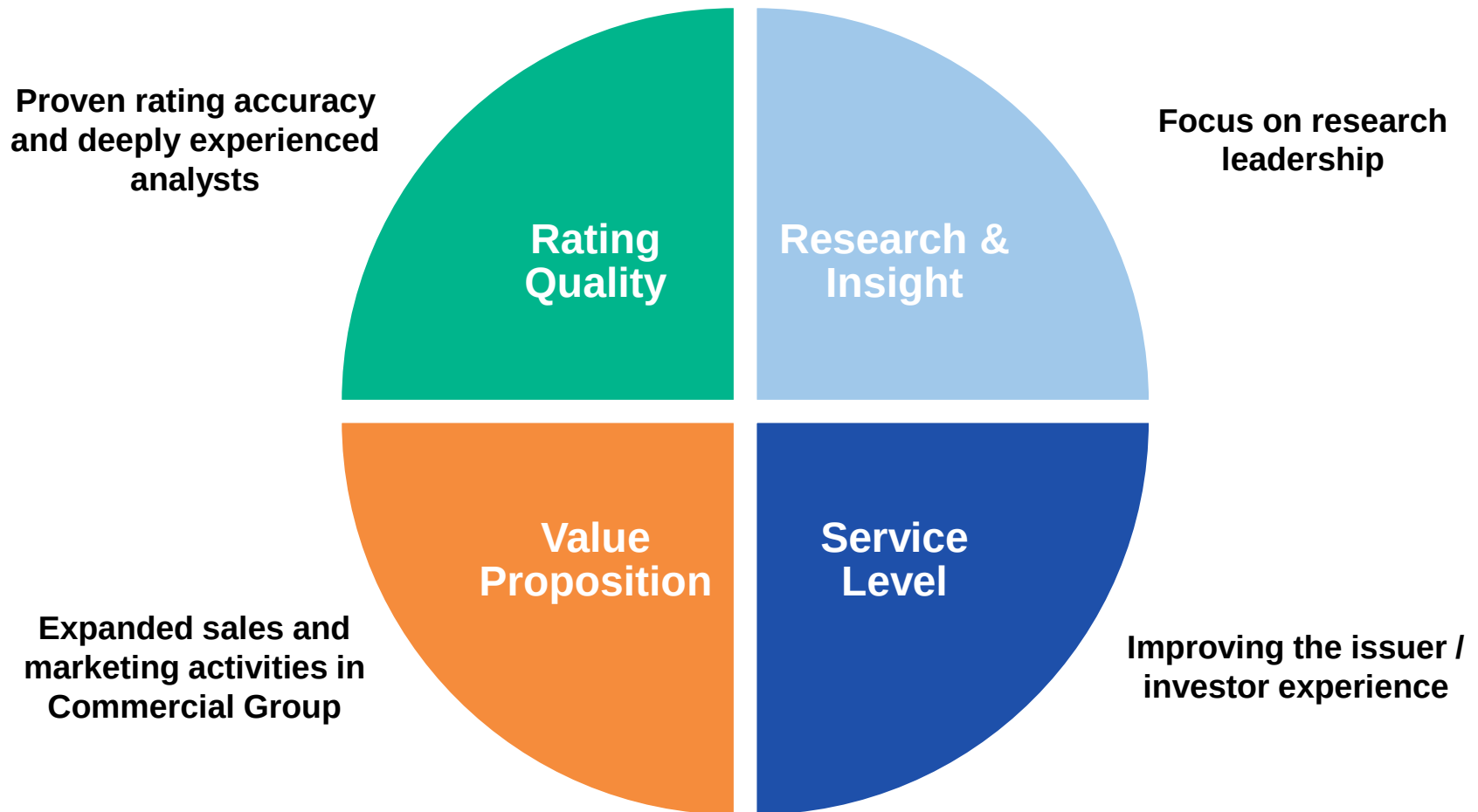
² As of September 30, 2016.

Source: Moody's Investors Service.

3

Moody's Investors Service

Moody's Investors Service: A Leading Provider of Credit Ratings, Research and Risk Analysis



Illustrative Value of a Moody's Rating

Example: 10 year \$500 million corporate bond

<u>Unrated</u>		<u>Rated by Moody's</u>
\$500,000,000	Bond	\$500,000,000
x 4.3%	Interest rate	x 4.0%
= \$21,500,000	Annual interest payments	= \$20,000,000
x 10 years	Tenor	x 10 years
= \$215,000,000	Lifetime interest expense	= \$200,000,000

**\$15 million in total interest expense
vs.
lifetime cost of a rating**

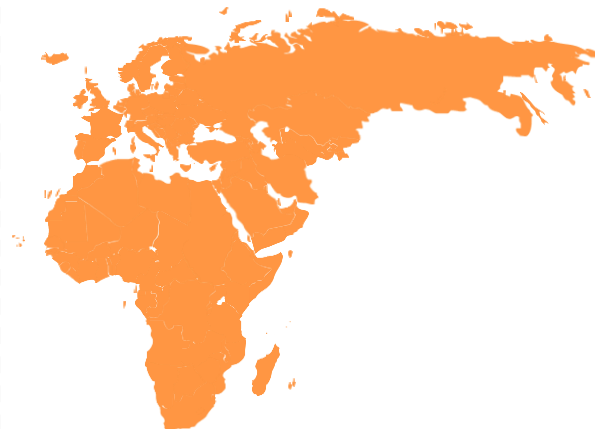
Note: Illustrative spread differential based on feedback from syndicate desks and FBR & Co. research on Moody's Corporation (January 2014) which stated that obtaining a Moody's rating typically saves approximately 30 basis points per year for investment grade issuers. Many factors go into the pricing of a bond.

Moody's Continues to Invest in Key International Markets



Americas

- » **2015:** Acquired 100% of Equilibrium



EMEA

- » **2013:** Opened MIS Warsaw office
- » **2016:** Opened MIS Stockholm office
- » **2016:** Collaboration with Euler Hermes Rating



APAC

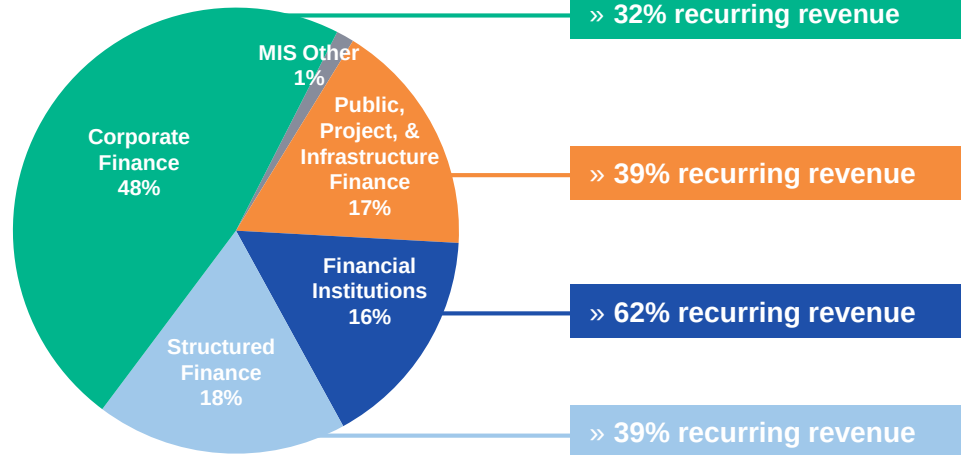
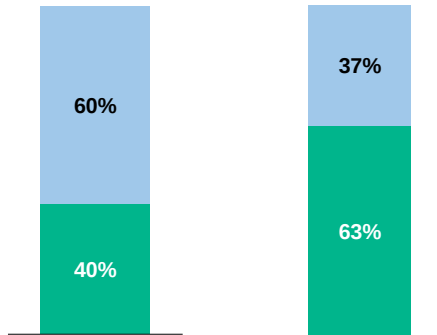
- » **2006:** Joint venture in China domestic market with CCXI
- » **2013:** Opened MIS Mumbai and Shanghai offices
- » **2015:** Acquired majority control of ICRA
- » **2016:** Increased stake in KIS to 100%



Moody's Investors Service Financial Profile

TTM 3Q 2016 Revenue: \$2.3 billion

■ Recurring ■ Transaction ■ US ■ Non-US



2016 Revenue Guidance as of October 21, 2016

Global	—	approximately flat
U.S.	—	approximately flat
Non-U.S.	—	approximately flat
Corporate Finance	—	approximately flat
Structured Finance	↓	mid-single-digit % range
Financial Institutions	↑	low-single-digit % range
Public, Project & Infrastructure Finance	↑	approximately 10%

Note: All financial data is for the trailing twelve months ended September 30, 2016.

4

Moody's Analytics

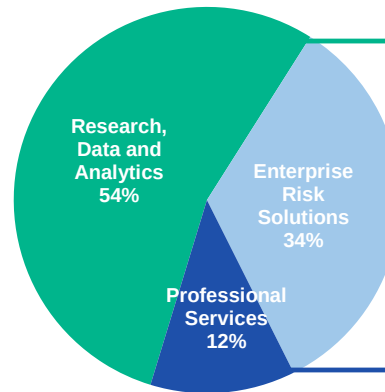
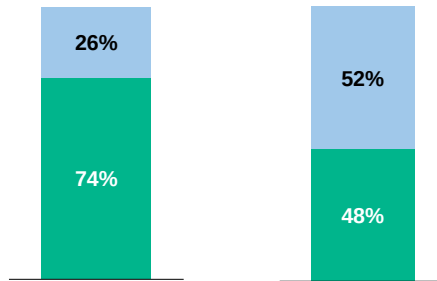
Moody's Analytics Provides Essential Insight Serving Global Financial Markets

 Research Data & Analytics	 Enterprise Risk Solutions	 Professional Services
» MIS research & data » MIS ratings feeds » Quantitative credit metrics (EDFs) » Economic research, data & models » Structured finance analytics & data	» Software solutions and risk management services that assist with: - Financial spreading - Risk scoring - Default modeling - Exposure aggregation & management - Portfolio analytics - Stress testing - Risk-Weighted Assets (RWA) calculation and reporting	» Outsourced research & consulting » Financial training & education - In-house training, seminars & on-line learning - Professional certification

Moody's Analytics Financial Profile

TTM 3Q 2016 Revenue: \$1.2 billion

■ Recurring ■ Transaction ■ US ■ Non-US



» > 95% recurring revenue
» 96% retention rate

» 64% recurring revenue

» Combination of one-off contracts and semi-recurring revenue

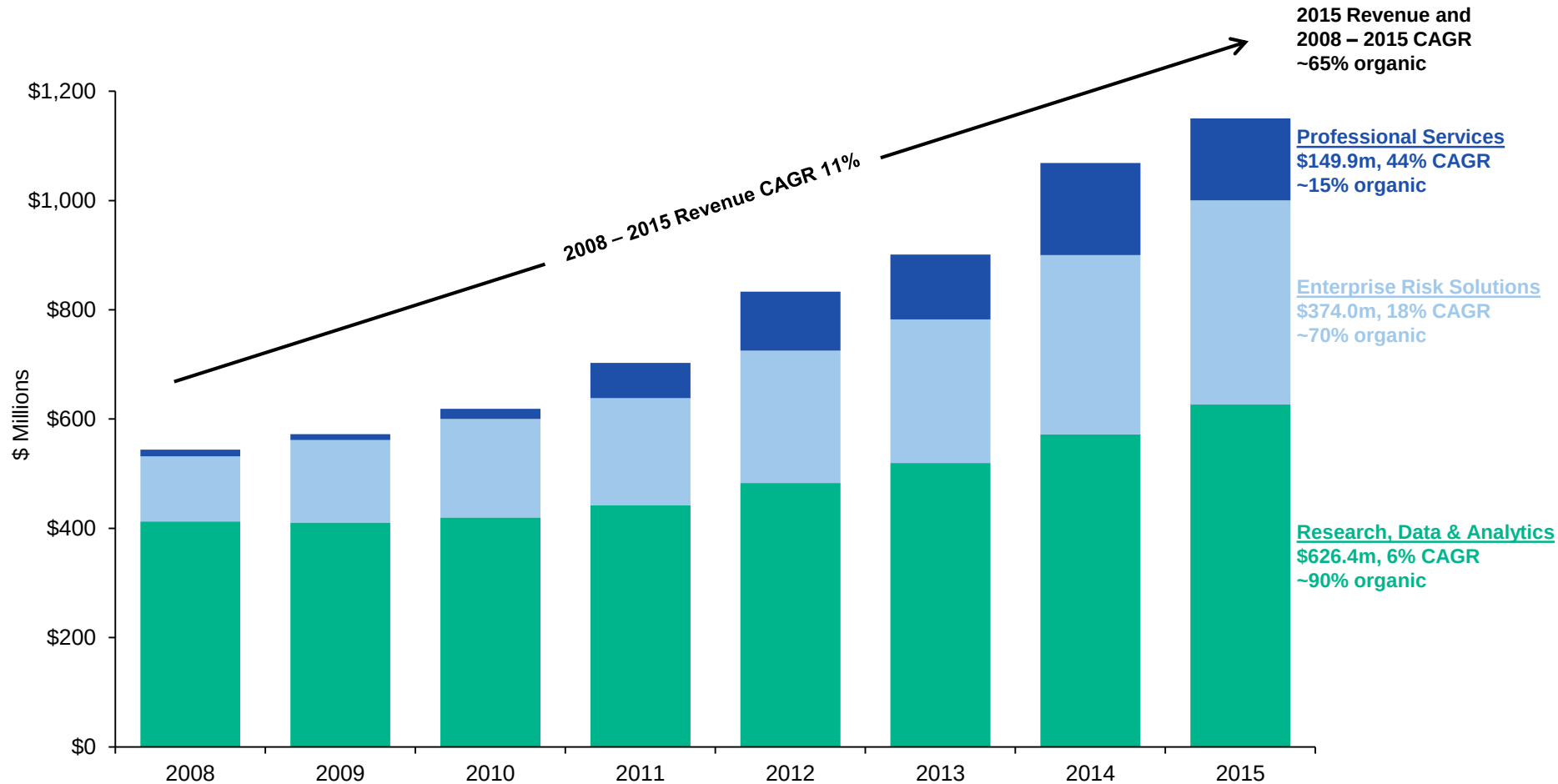
2016 Revenue Guidance as of October 21, 2016

Global	↑ mid-single-digit % range
U.S.	↑ low-double-digit % range
Non-U.S.	↑ low-single-digit % range
Research, Data & Analytics	↑ high-single-digit % range
Enterprise Risk Solutions	↑ high-single-digit % range
Professional Services	↓ low-single-digit % range

Note: All financial data is for the trailing twelve months ended September 30, 2016.

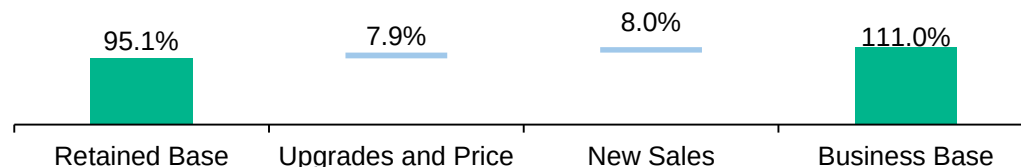
Moody's Analytics has Multiple Platforms for Growth

Added ~\$600 Million in Revenue in 8 Years



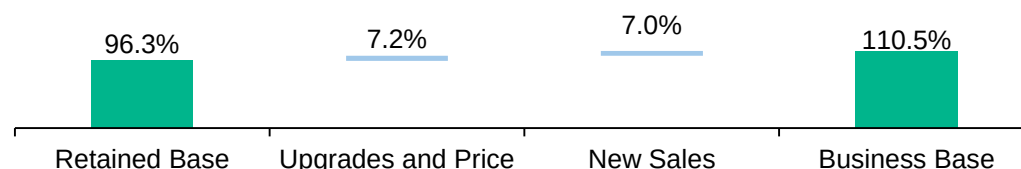
RD&A: Growth Driven by Retention, New Sales and Pricing

1H 2016



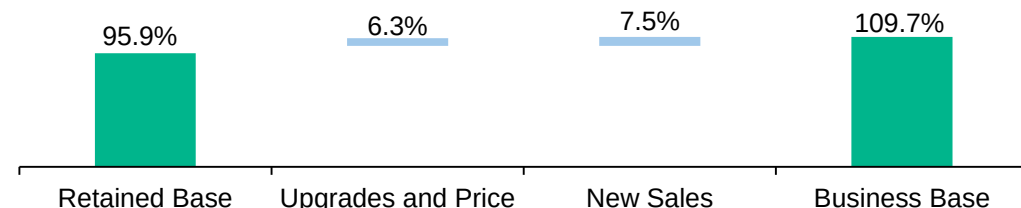
Reported Revenue Growth
\$26.1 million
8.5%

Full Year 2015



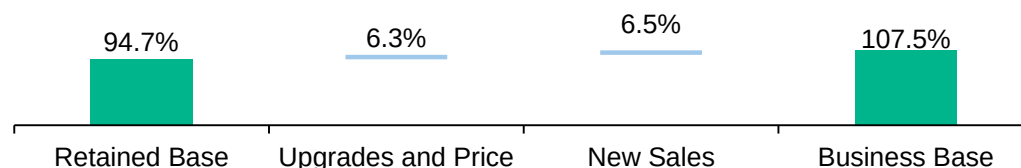
Reported Revenue Growth
\$54.6 million
9.5%

Full Year 2014



Reported Revenue Growth
\$52.0 million
10.0%

Full Year 2013

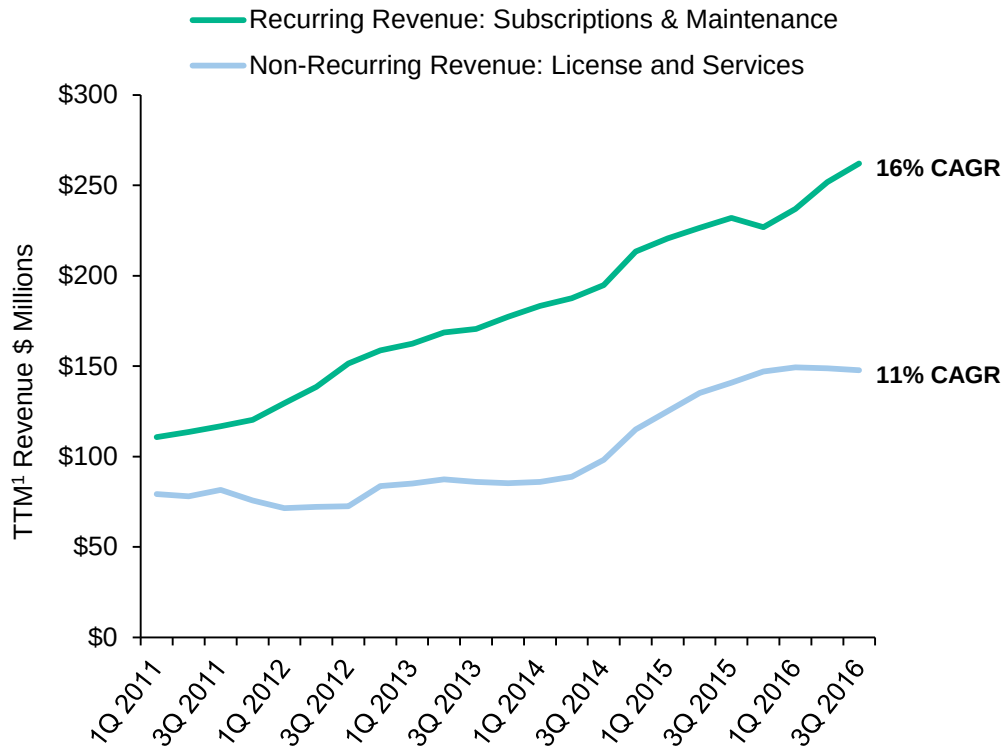


Reported Revenue Growth
\$37.1 million
7.7%

Note: The sales growth attributions presented on this slide are related to RD&A subscription sales. Upgrades reflect amendments to existing customer contracts. New Sales reflect new contracts with new and existing customers. Reported revenue growth reflects total RD&A revenue.

ERS: Solid Track Record of Growth

Overall CAGR Since 2011 of 14%



Reminder: While ~2/3 of revenue base is renewable, results are affected by large projects – timing may impact sales, revenues, and margin in any one period

1. Trailing twelve months ended September 30, 2016.

» Growth drivers

- Regulation and accounting standards driving demand for automated software tools
- Financial institutions adopting standard approaches and best practices in risk management
- Expense management pressure shifting FIs away from home-grown technology solutions

» **Investment in common code base offering rich functionality and streamlined configuration options** will drive sales and simplify customer adoption

» **Focus on higher-value, more profitable business** supports margin expansion; some top-line offset due to slower growth in low-margin services

Professional Services: Extending the Brand Into New Markets and Deepening Relationships With Customers

Financial services training

- » Provider of global learning capabilities to banks, asset managers, regulators and non-bank financial institutions
- » Expansion into new markets:
 - India: Signed MOU with the National Institute of Securities Markets (NISM) to jointly offer certification programs
 - Africa: MA is fast becoming a recognized standard for credit training in the region

Certificates, designations and accreditations

- » Canada's leading provider of financial services education and designations
- » 270+ courses taken by 800,000+ financial professionals
- » Endorsed by the Investment Industry Regulatory Organization of Canada (IIROC), Canada's stock exchanges and Canada's securities regulatory commissions



Canadian Securities Institute
Moody's Analytics Training & Certification Services

Knowledge process outsourcing

- » Leading provider of research, analytics and business intelligence services to global financial institutions
- » Bespoke front-office support with client-dedicated analyst teams for 150+ clients
- » More than 2,600 employees in offices in India, China, Sri Lanka and Costa Rica
- » 13 years of experience helping clients enhance profitability, increase operational flexibility and drive revenues



5

Conclusion

Why Invest in Moody's?

- » **We strive to be the world's most respected authority serving risk-sensitive financial markets**
- » **We have had strong revenue and earnings growth, as well as cash flow conversion**
 - 2011 – 2015 revenue CAGR of 11%
 - 2011 – 2015 Non-GAAP EPS¹ CAGR of 17%
 - 2011 – 2015 free cash flow conversion rate of ~30%
- » **We are committed to returning capital to our shareholders**
 - 2011 – 2015 returned \$4.7 billion, or 107% of free cash flow, to shareholders via share repurchases and dividends
- » **We will selectively invest in strategic growth opportunities**
 - Leverage brand to extend our relevance in financial markets
 - Expand our product offerings and geographic influence

¹ See appendix for reconciliation of Non-GAAP EPS to GAAP EPS.

Moody's Awards

Moody's is the proud recipient of over 20 awards from publications around the world. Spanning both Moody's Investors Service and Moody's Analytics, this recognition helps expand Moody's position as a leader in the global capital markets and reflects the hard work and contributions of all our employees.

Moody's Investors Service



#1 US Credit
Rating Agency:
2012-2016



Multiple-Award Winner,
Including Best Rating
Agency for Corp. Grade
Investment Bonds: 2016



Best Ratings Agency,
Islamic Finance:
2016



Most Influential
Credit Rating Agency:
2013-2015



Best Islamic
Rating Agency:
2015



Project Finance Firm
of the Year (USA):
2015



Best Islamic Finance
Rating Agency:
2015



#1 Asia Credit
Rating Agency:
2012-2015



#1 US Rating Agency: 2015
#1 US Municipal Research
Team: 2014



Australia's Rating
Agency of the Year:
2014-2015

Moody's Analytics



Best Credit Risk
Solution Provider –
RiskCalc™



#1 Risk Management
Regulatory/Economic
Capital Calculation



Liquidity Risk Technology
Implementation of the Year



Ranked Top-5 in 5 out of 11
performance categories: 2011,
2012, 2014, 2015 Expectations
(1-, 2-, 3-, 4-Year Horizons)



Front-Line Customer Service
Team of the Year – Financial
Services Industries



Winner Enterprise
Stress Testing
Overall #7 out of 100



#1 Enterprise- Wide Credit
Risk Management and
#1 Economic and Regulatory
Risk Capital Calculation



Best Solvency II Software
Best Economic Scenario
Generation Software



#1 Regulatory Capital
Calculation and Management
and #1 Economic Capital
Calculation and Management



Recognized as a Top
Solution Provider



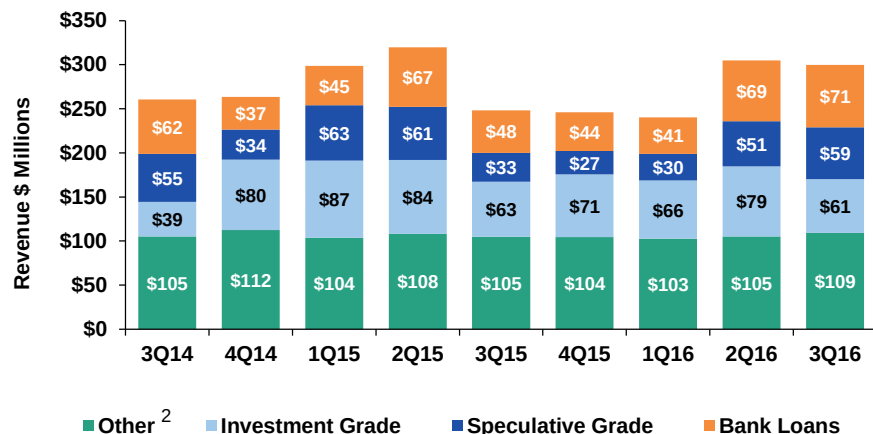
Recognized as a Top
Solution Provider

6

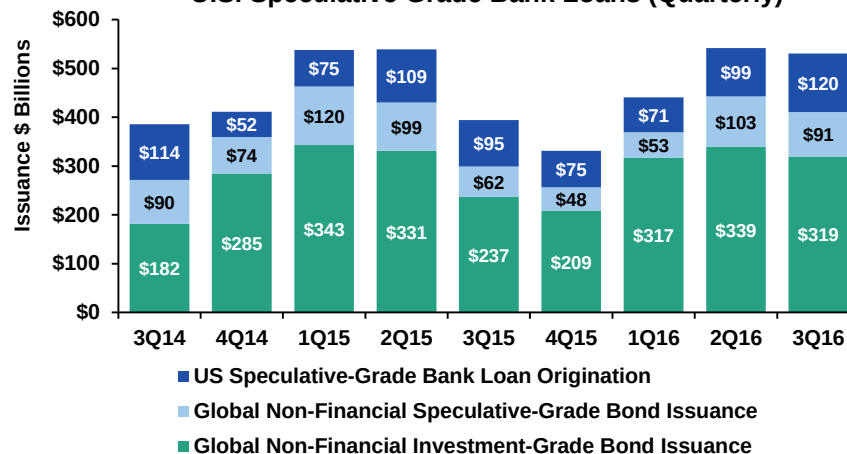
Appendix

Corporate Finance: Revenue and Issuance

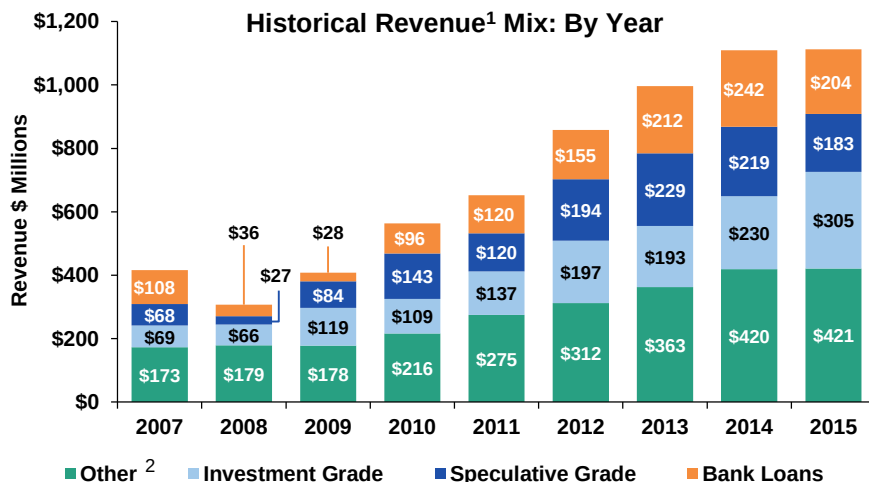
Historical Revenue¹ Mix: By Quarter



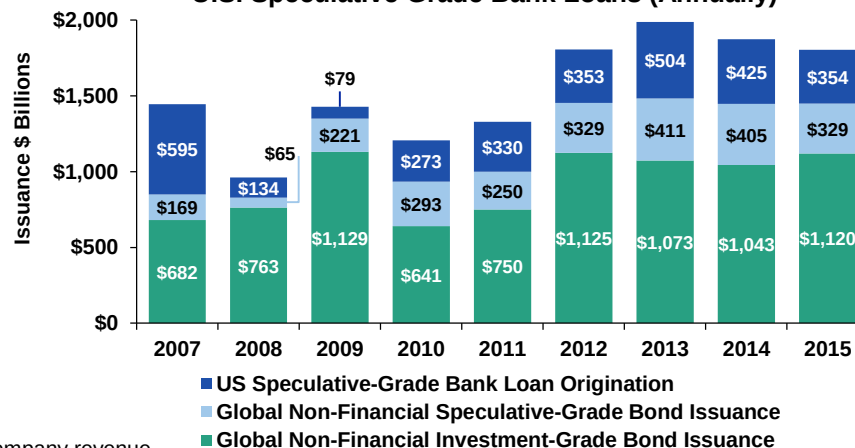
Global Rated Non-Financial Bonds and U.S. Speculative Grade Bank Loans (Quarterly)³



Historical Revenue¹ Mix: By Year



Global Rated Non-Financial Bonds and U.S. Speculative Grade Bank Loans (Annually)³



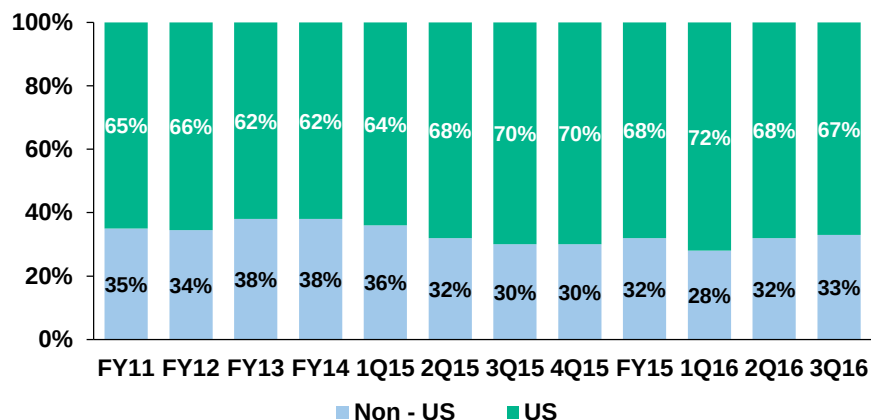
1 Historical data has been adjusted to conform with current information and excludes intercompany revenue.

2 Other includes: monitoring, commercial paper, medium term notes, and ICRA.

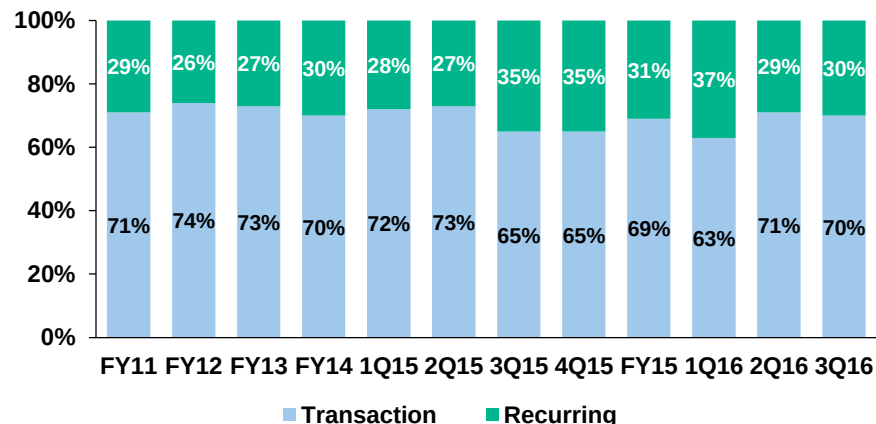
3 Sources: Moody's Capital Markets Research Group, Dealogic; U.S. Speculative-Grade Bank Loan Origination represents Moody's rated new U.S. bank loan programs. Note: Debt issuance categories do not directly correspond to Moody's revenue categorization.

Corporate Finance: Revenue Diversification

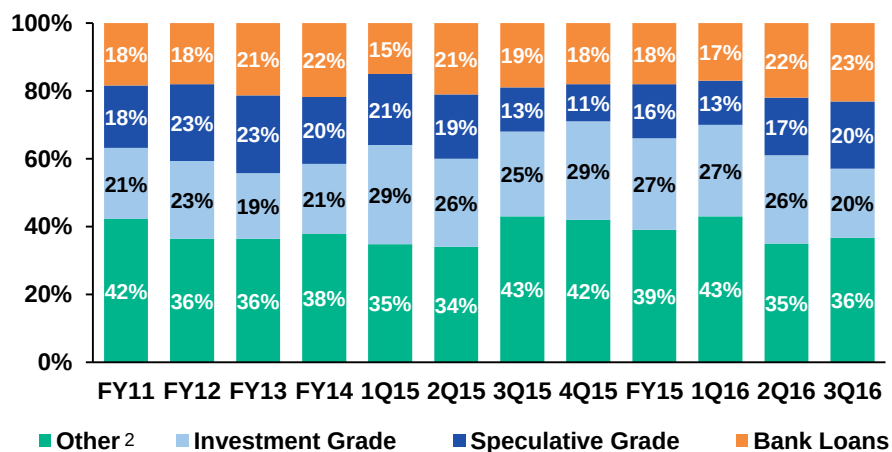
Revenue¹ Distribution: Geography



Revenue¹ Distribution: Recurring vs. Transaction



Revenue¹ Distribution: Product



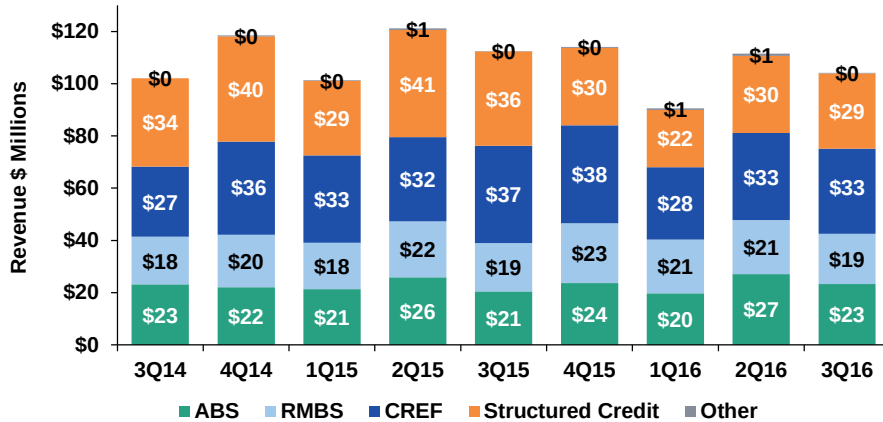
1 Historical data has been adjusted to conform with current information and excludes intercompany revenue.

2 Other includes: monitoring, commercial paper, medium term notes, and ICRA.

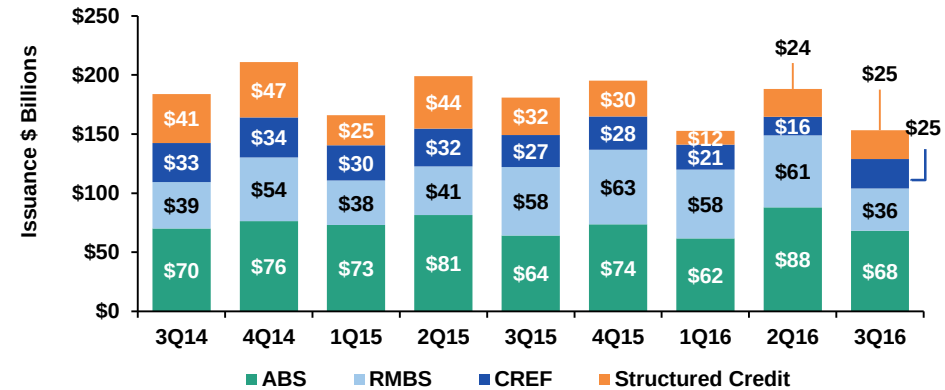
Percentages have been rounded and may not total to 100%.

Structured Finance: Revenue and Issuance

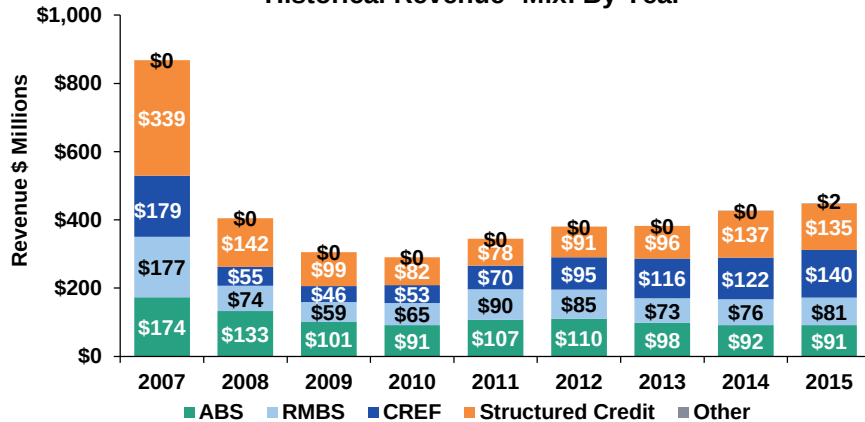
Historical Revenue¹ Mix: By Quarter



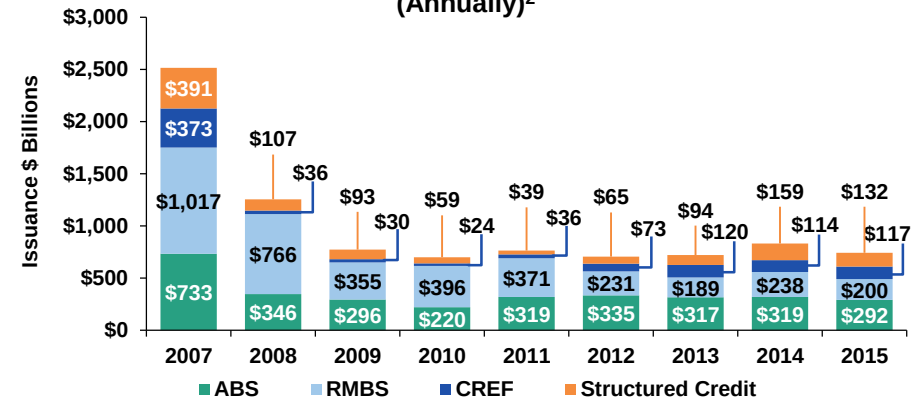
Global Rated Structured Finance (Quarterly)²



Historical Revenue¹ Mix: By Year



Global Rated Structured Finance (Annually)²



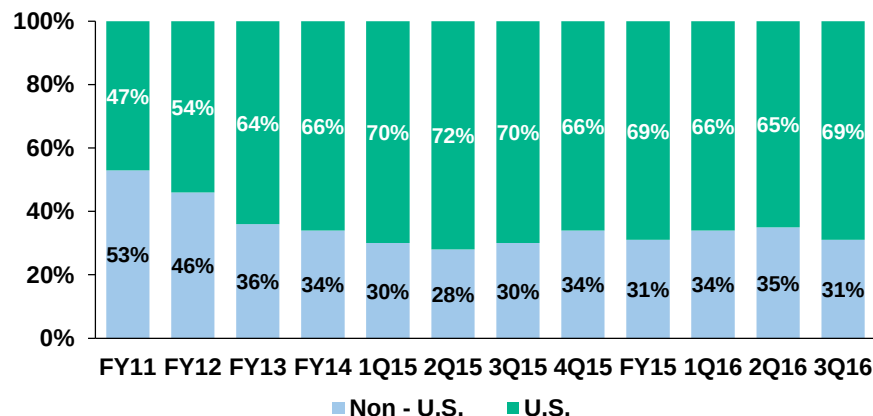
1 Historical data has been adjusted to conform with current information and excludes intercompany revenue.

2 Sources: AB Alert, CM Alert, Moody's Corporation. Debt issuance categories do not directly correspond to Moody's revenue categorization.

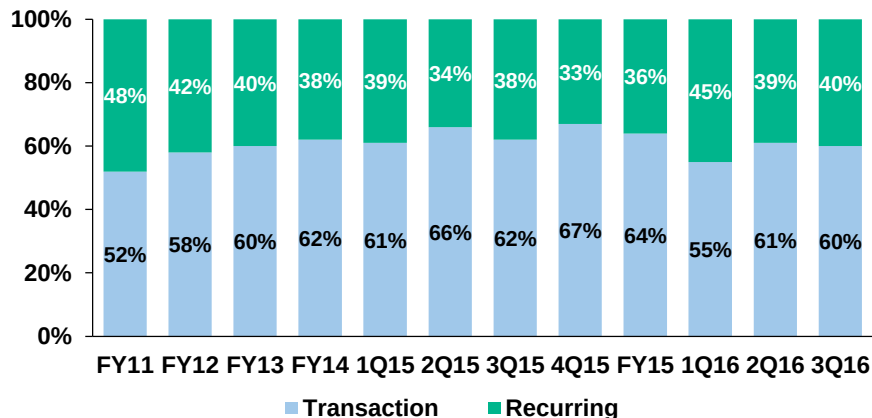
Notes: ABS (Asset Backed Securitization) includes asset-backed commercial paper and long-term asset-backed securities. RMBS (Residential Mortgage Backed Securitization) includes covered bonds. CREF (Commercial Real Estate Finance) includes commercial mortgage-backed securities, real estate finance, commercial real estate CDOs, and real estate investment trusts (REITs). Structured Credit includes CLOs and CDOs.

Structured Finance: Revenue Diversification

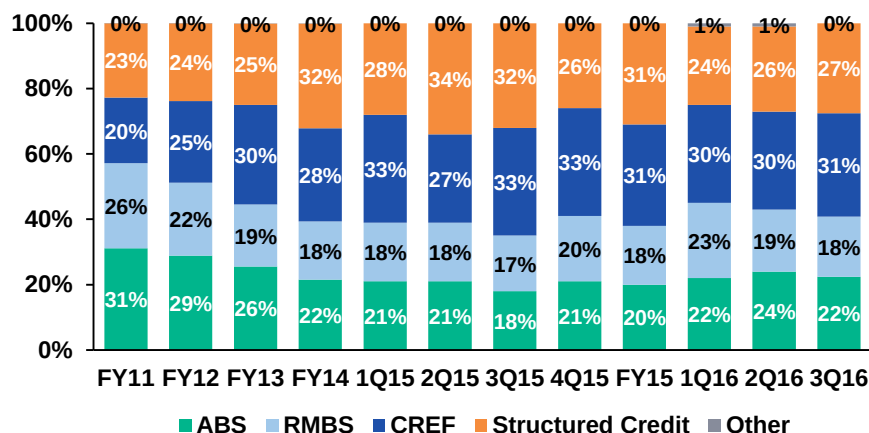
Revenue¹ Distribution: Geography



Revenue¹ Distribution: Recurring vs. Transaction



Revenue¹ Distribution: by Product



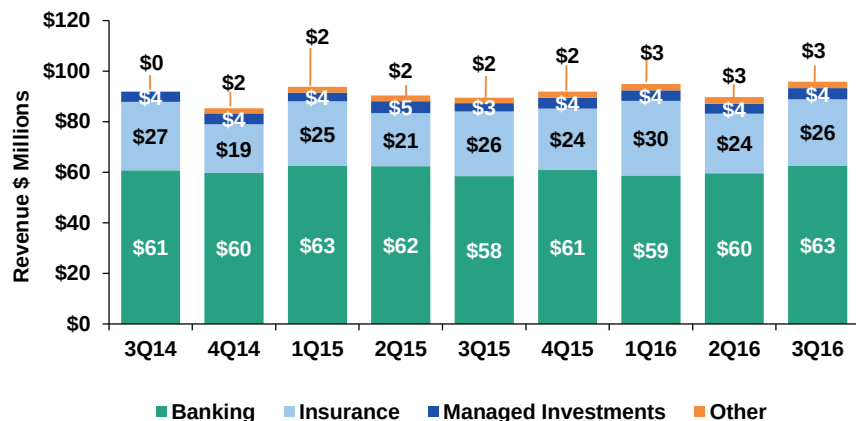
1 Historical data has been adjusted to conform with current information and excludes intercompany revenue.

Percentages have been rounded and may not total to 100%.

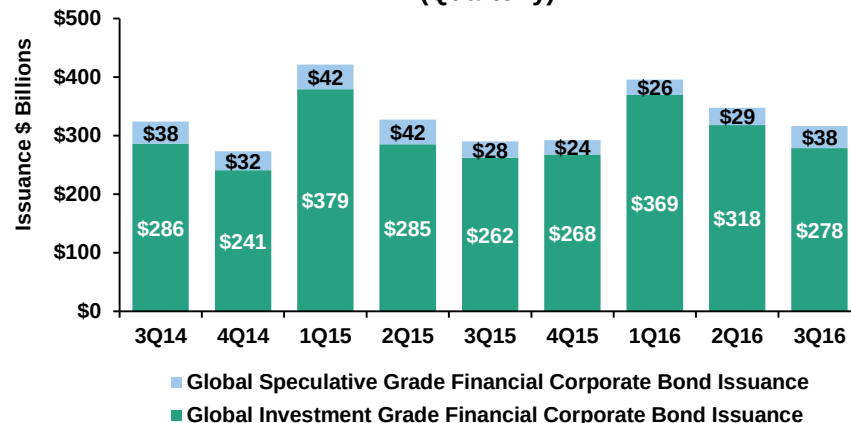
Notes: ABS (Asset Backed Securitization) includes asset-backed commercial paper and long-term asset-backed securities. RMBS (Residential Mortgage Backed Securitization) includes covered bonds. CREF (Commercial Real Estate Finance) includes commercial mortgage-backed securities, real estate finance, commercial real estate CDOs, and real estate investment trusts (REITs). Structured Credit includes CLOs and CDOs.

Financial Institutions: Revenue and Issuance

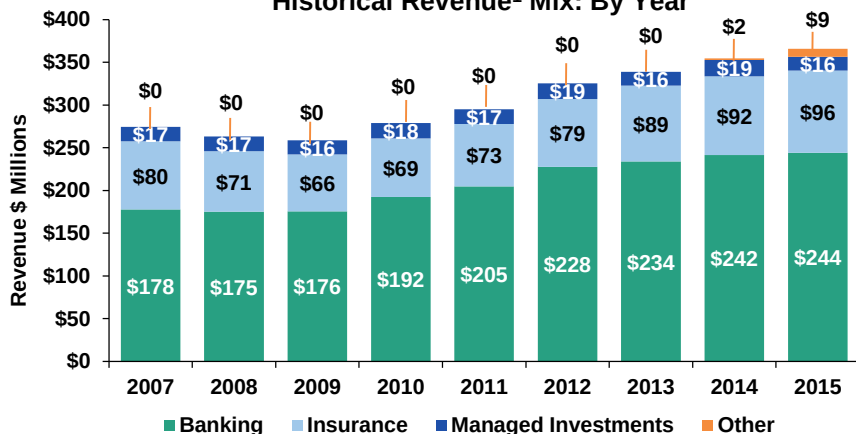
Historical Revenue¹ Mix: By Quarter



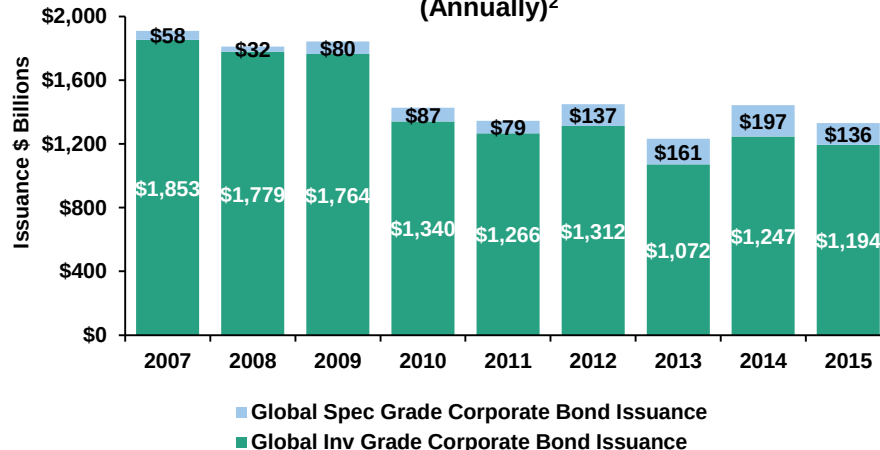
Global Rated Financial Bonds (Quarterly)²



Historical Revenue¹ Mix: By Year



Global Rated Financial Bonds (Annually)²

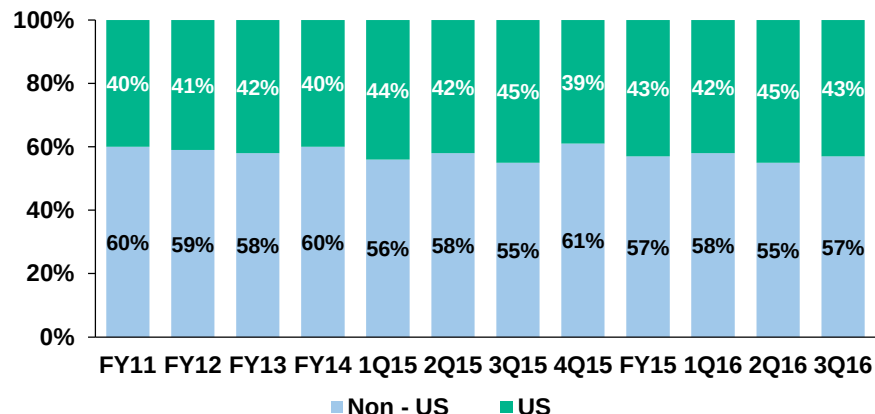


1 Historical data has been adjusted to conform with current information and excludes intercompany revenue.

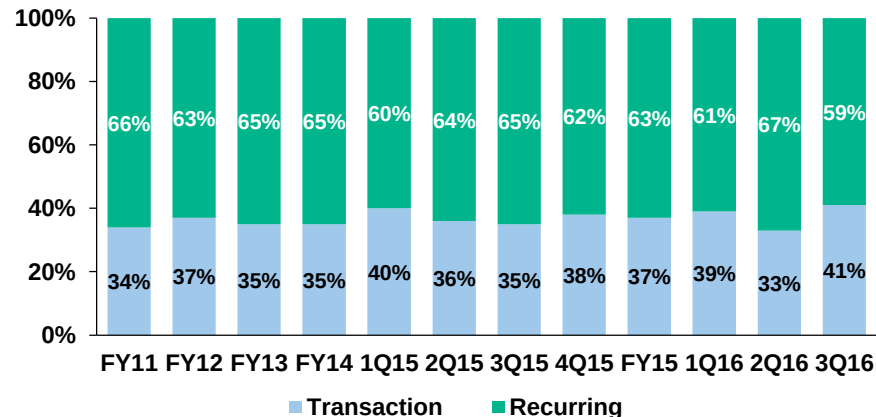
2 Sources: Moody's Capital Markets Research Group, Dealogic. Note: Debt issuance categories do not directly correspond to Moody's revenue categorization.

Financial Institutions: Revenue Diversification

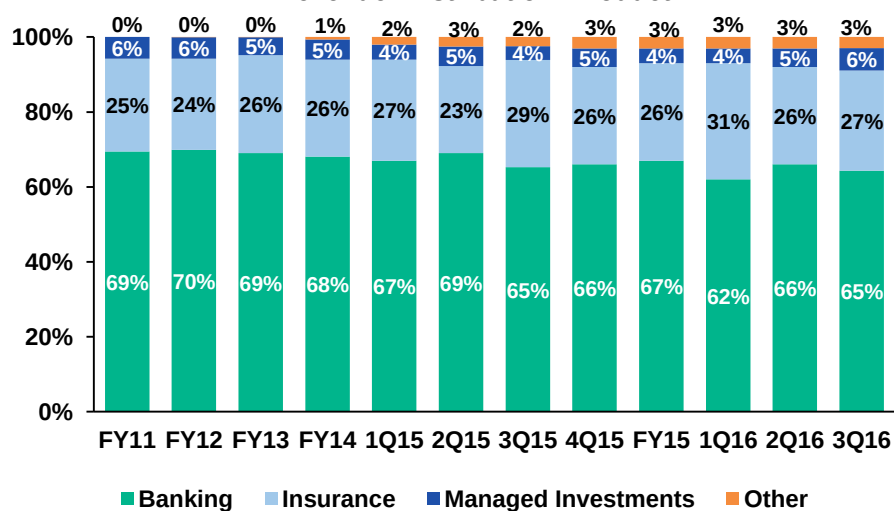
Revenue¹ Distribution: Geography



Revenue¹ Distribution: Recurring vs. Transaction

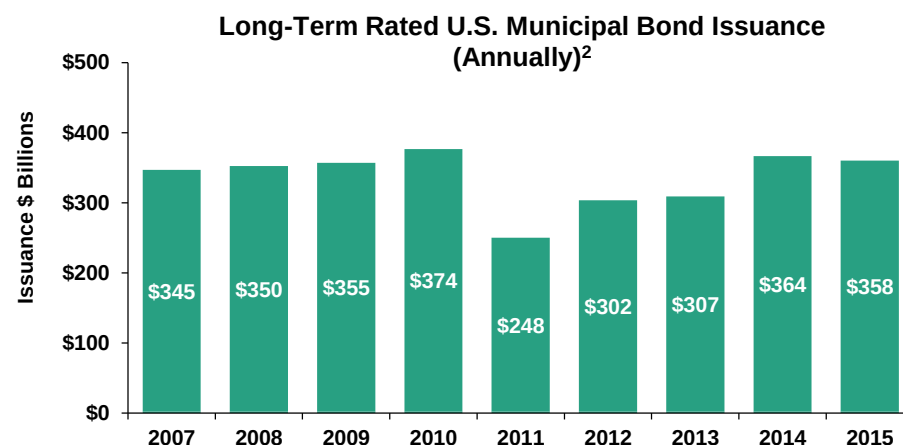
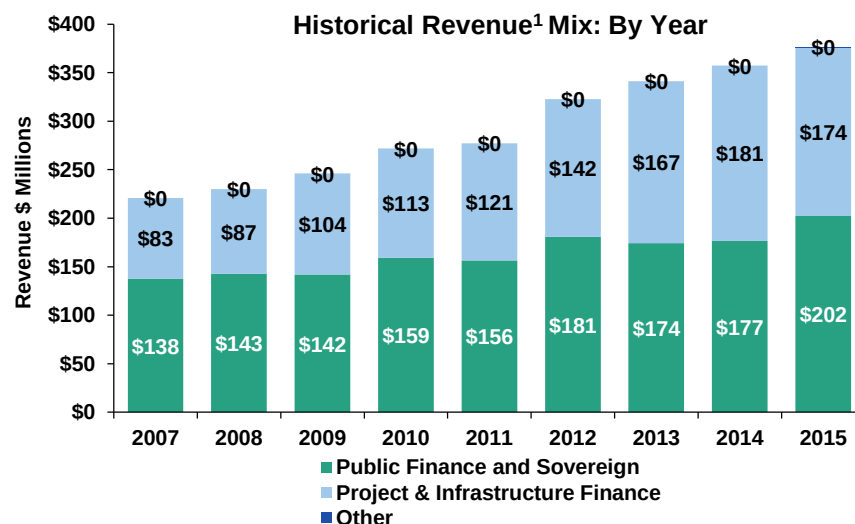
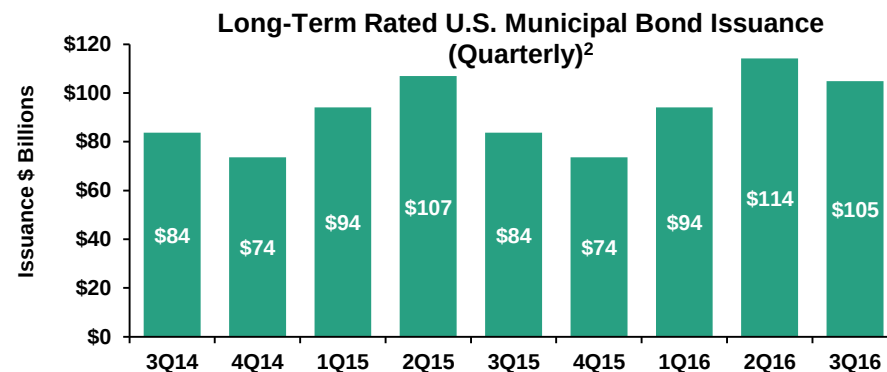
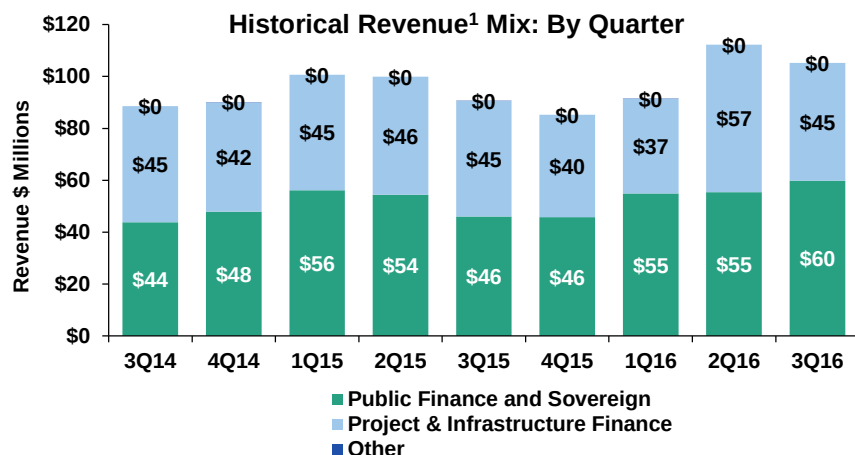


Revenue¹ Distribution: Product



¹ Historical data has been adjusted to conform with current information and excludes intercompany revenue. Percentages have been rounded and may not total to 100%.

Public, Project and Infrastructure: Revenue and Issuance

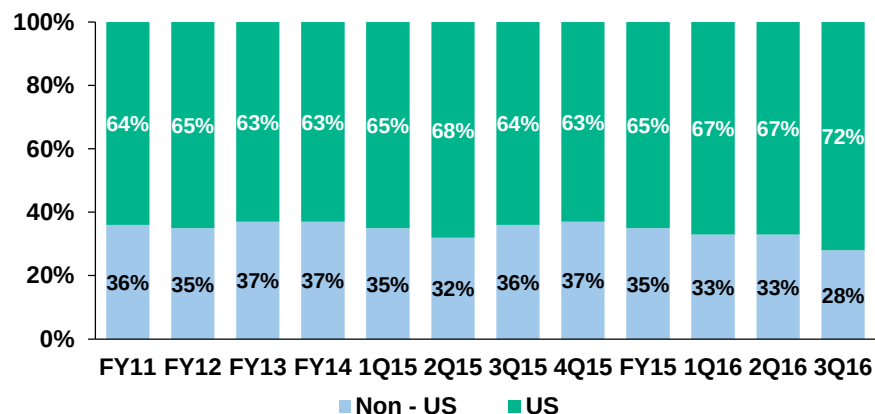


1 Historical data has been adjusted to conform with current information and excludes intercompany revenue.

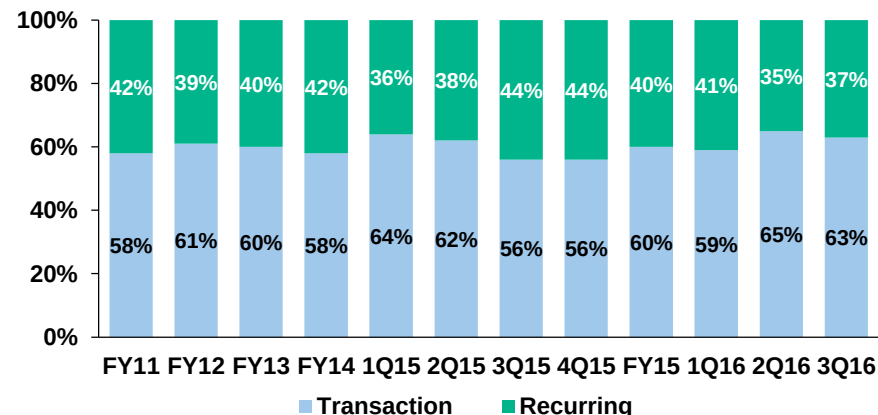
2 Sources: Thomson SDC, Moody's Corporation. Note: Debt issuance categories do not directly correspond to Moody's revenue categorization.

Public, Project and Infrastructure: Revenue Diversification

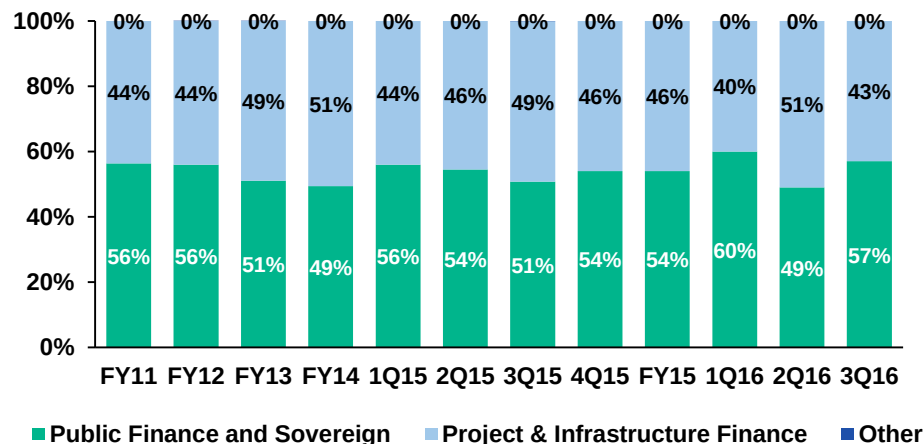
Revenue¹ Distribution: Geography



Revenue¹ Distribution: Recurring vs. Transaction

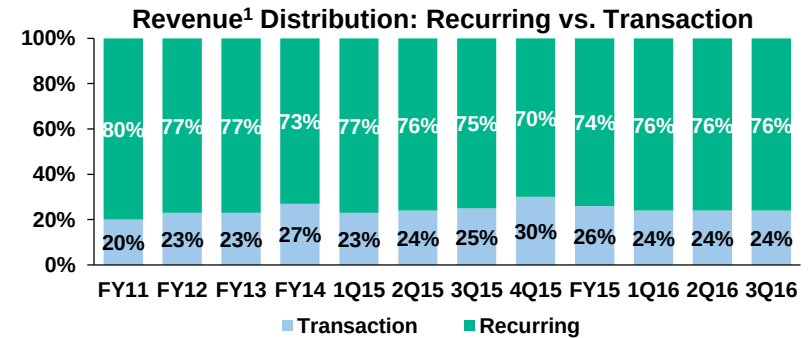
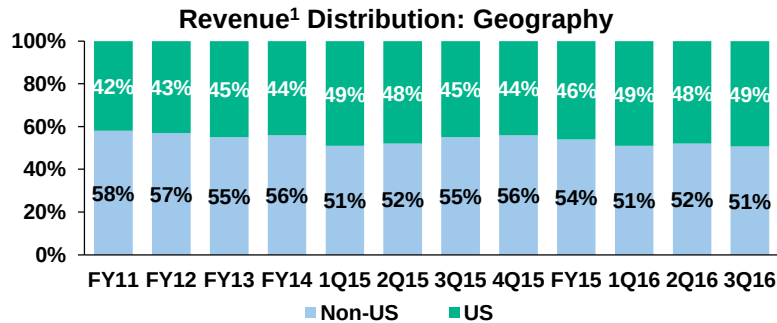
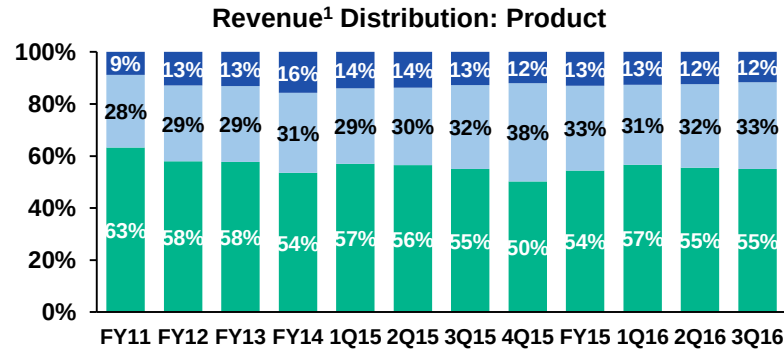
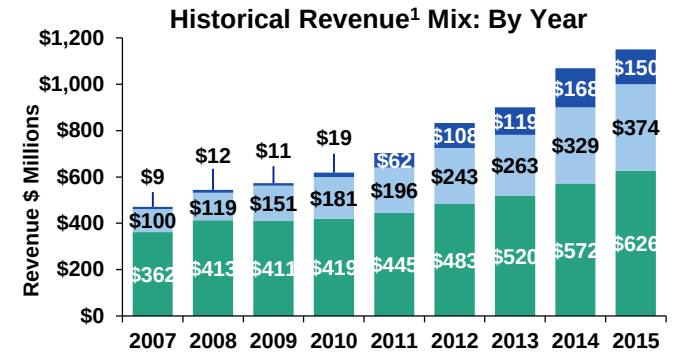
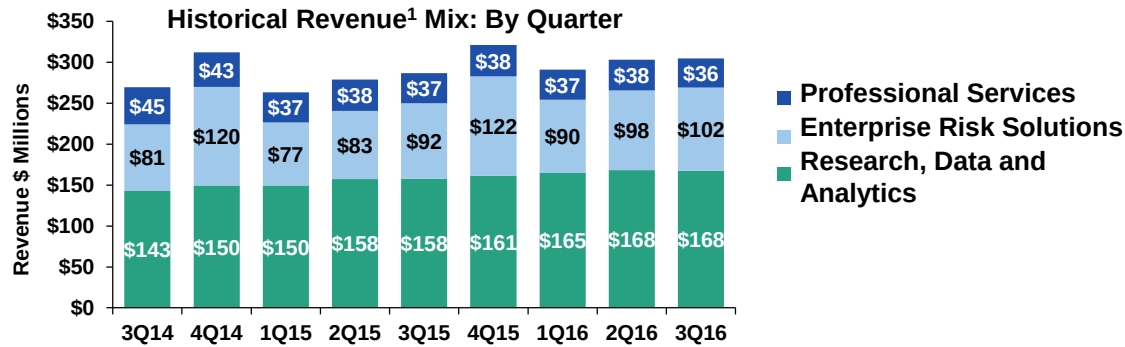


Revenue¹ Distribution: Product



1. Historical data has been adjusted to conform with current information and excludes intercompany revenue. Percentages have been rounded and may not total to 100%.

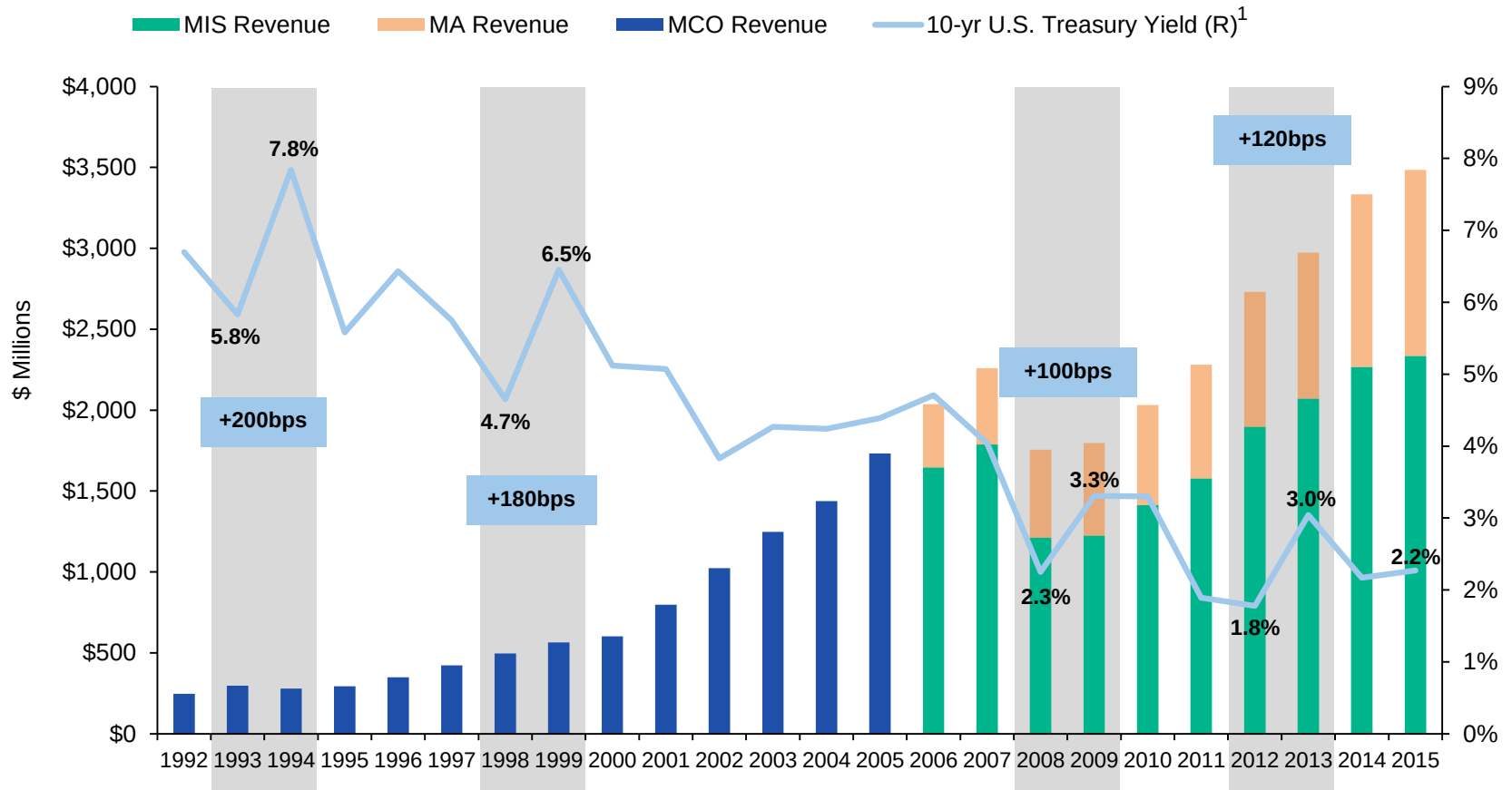
Moody's Analytics: Financial Overview



1. Historical data has been adjusted to conform with current information and excludes intercompany revenue. Percentages have been rounded and may not total to 100%.

Historically, Rising Rates Have not had a Significant Impact on Moody's Revenue

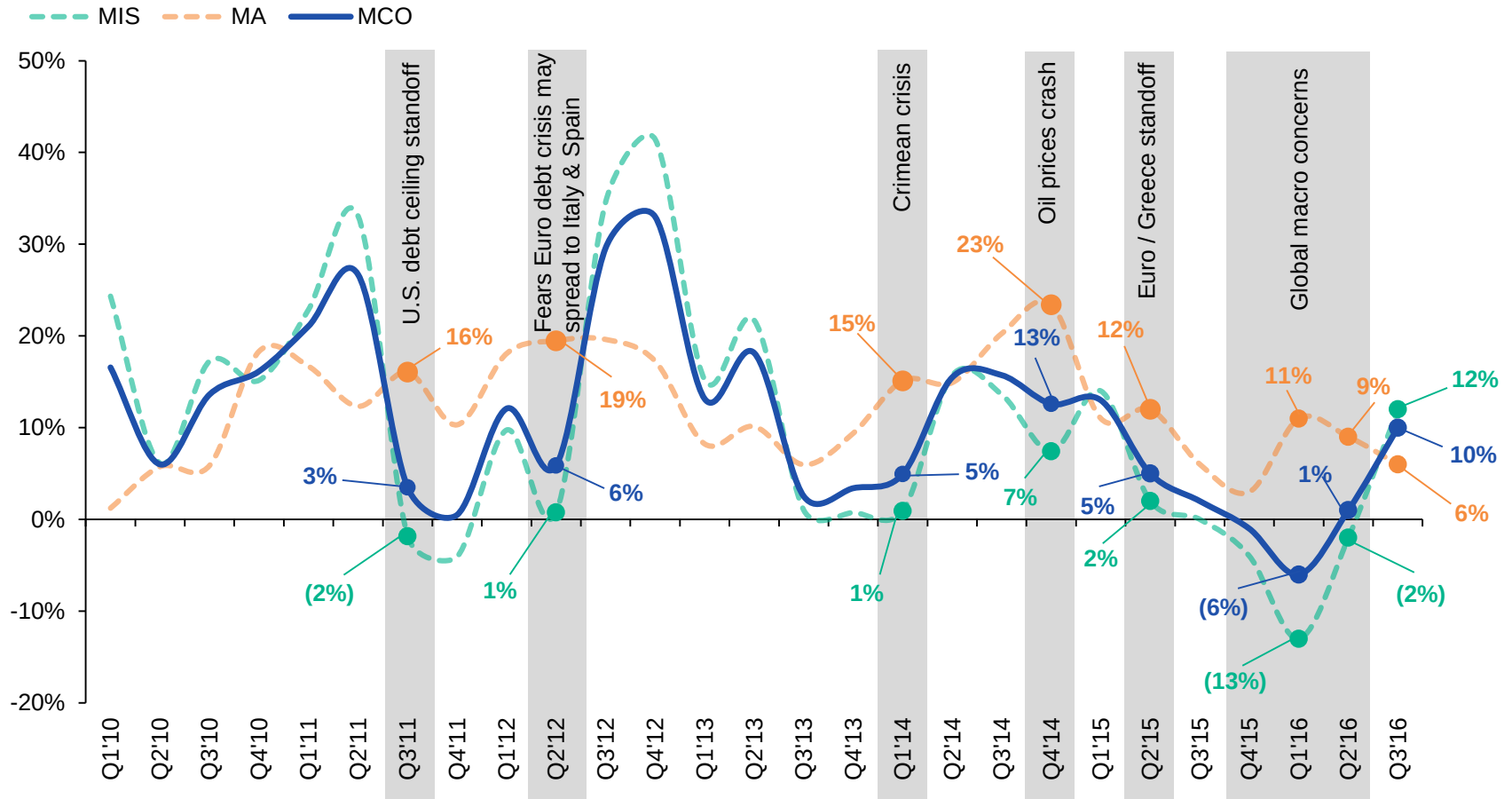
MCO Revenue and Interest Rates



¹ 10-yr Treasury Yields are represented by the rate at the end-of-period. Source: www.treasury.gov

Revenue Growth by Quarter: MCO, MIS and MA

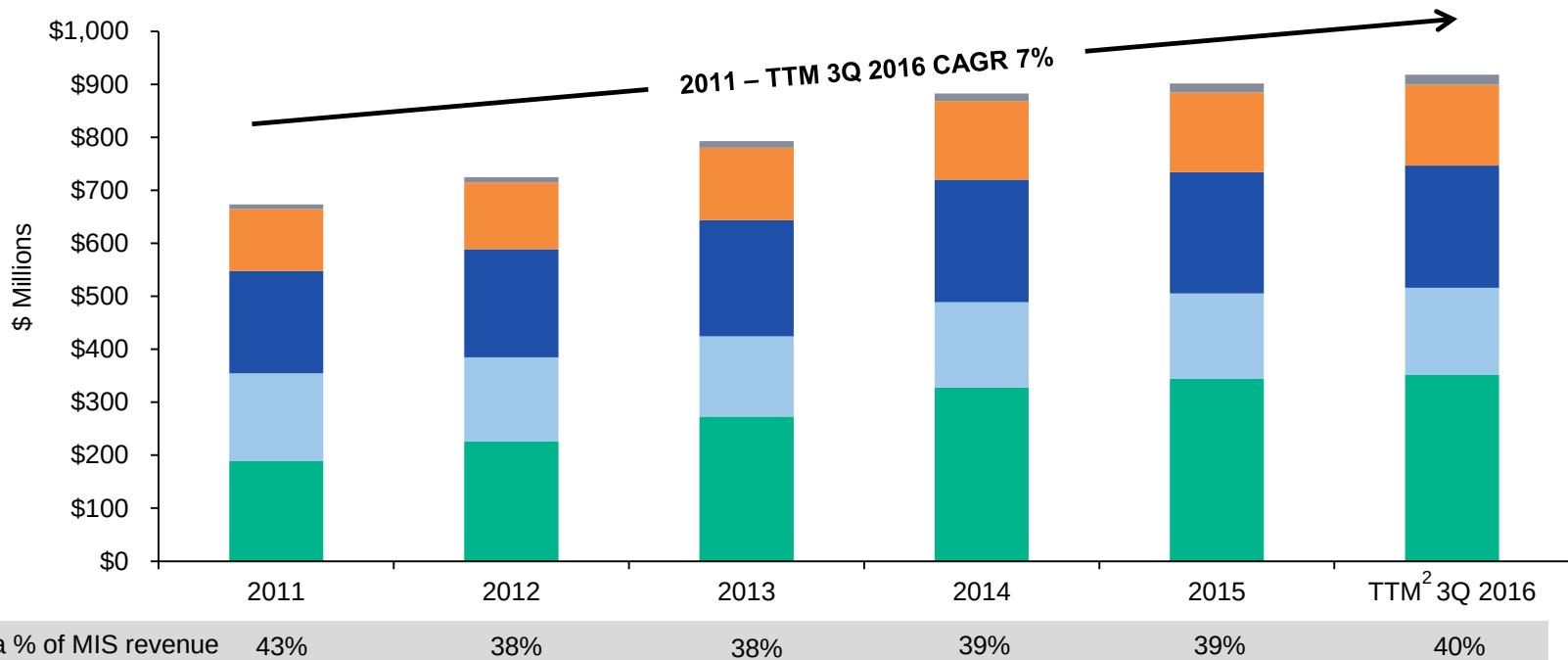
Year-over-Year % Change



Moody's Investors Service's Recurring Revenue¹ Provides Stability

MIS Recurring Revenue

■ Corporate Finance ■ Structured Finance ■ Financial Institutions ■ Public, Project, & Infrastructure Finance ■ MIS Other



» Drivers of MIS recurring revenue include growth in monitoring fees and select elements of pricing

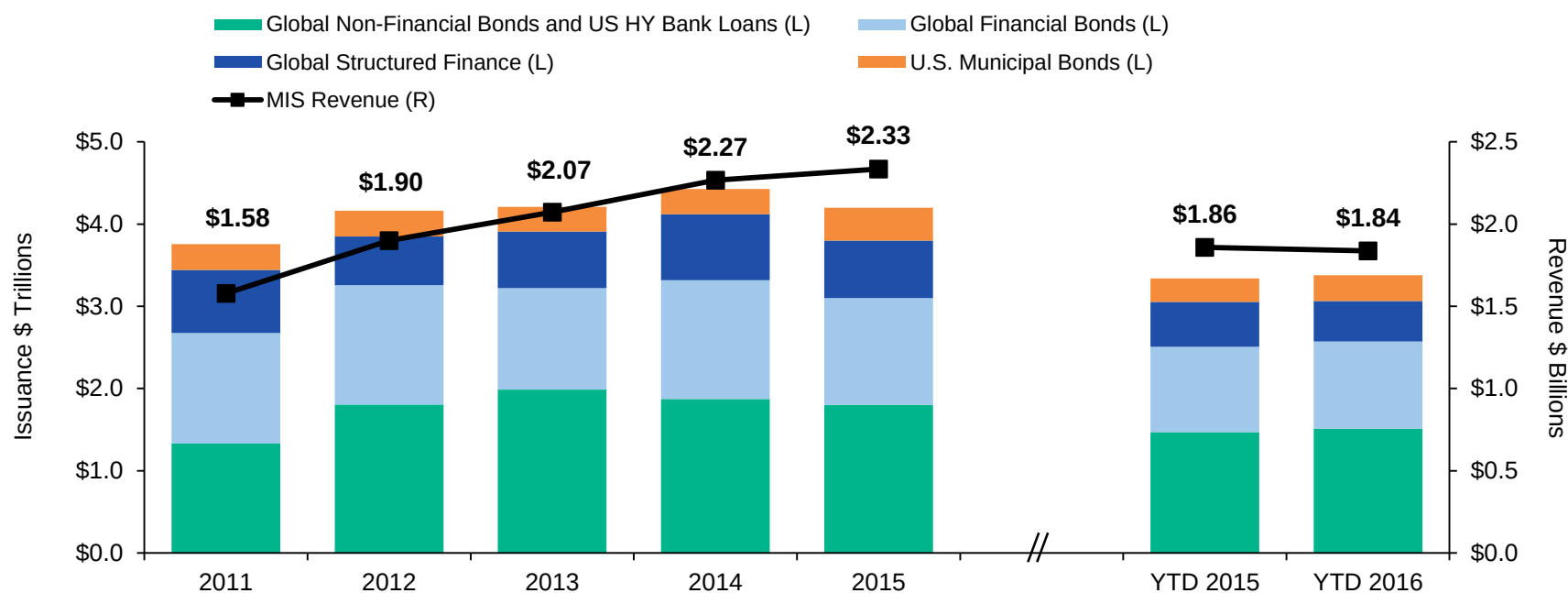
» Recurring revenue averages ~40% of total MIS revenue

¹ MIS recurring revenue is typically billed annually and recognized ratably over 12 months. Recurring revenue can also be billed upfront and recognized over the life of the security.

² Trailing twelve months ended September 30, 2016.

MIS Revenue vs. Rated Issuance¹

Year-over-Year Percent Change	2011	2012	2013	2014	2015	2011-2015 CAGR	YTD ² 2016
Issuance	2%	11%	1%	5%	-5%	3%	1%
Revenue	12%	20%	9%	9%	3%	10%	-1%



» In addition to issuance activity levels, MIS revenue is impacted by (i) the mix of issuance activity, (ii) pricing and (iii) growth in monitored credits

¹ Rated global investment grade bonds, global high yield bonds, U.S. high yield bank loans, global structured finance, and U.S. municipal issuance.

² As of September 30, 2016.

Source: Moody's Capital Markets Research Group, Dealogic, AB Alert, CM Alert, Thomson SDC. U.S. High Yield Bank Loans represent Moody's rated new U.S. bank loan programs.

U.S. Regulatory Developments Affecting Securitization

» **Risk Retention** rules (minimum 5% “skin in the game”) are causing “indigestion” for ‘originate to distribute’ securitization products such as CLOs and CMBS as the markets seek to find viable paths to comply by the December 2016 deadline

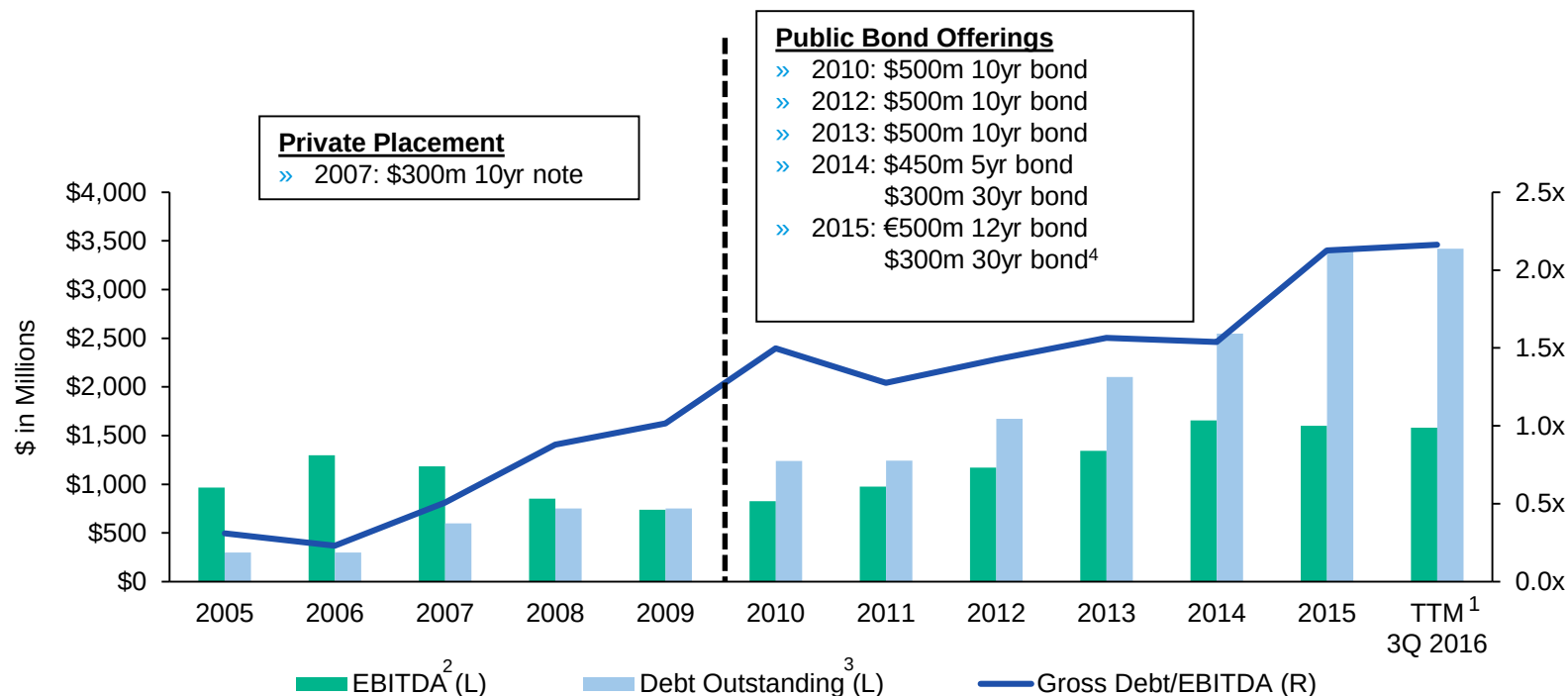
» **FRTB (Fundamental Review of Trading Book) Bank Regulation** hurts secondary markets for securitization as banks are now required to hold additional capital against their positions

» **Basel III Liquidity Coverage Ratio** assigns 0% stressed liquidation value to non GSE-backed securitizations held for bank liquidity buffer purposes, while GSE-backed securitizations are granted Tier 2 status

» **Money Market Fund Reform** – regulatory constraints and rising costs of compliance have created an incentive for asset managers to refocus debt fund investment strategies out of securitized (and corporate) assets into Treasuries

» **Impact of U.S. Elections** – Tailwinds for securitization might include policies that would 1) revisit Dodd-Frank and/or 2) promote a return to more private sector funding for housing and education

Moody's is a Seasoned Capital Markets Issuer



- » Successfully issued across the maturity curve and in multiple currencies
- » Initial maturities ranging from 5-year to 30-year
- » Debt denominated in USD and EUR
- » \$1 billion of additional borrowing capacity under commercial paper program which is backstopped by an undrawn \$1 billion revolving credit facility

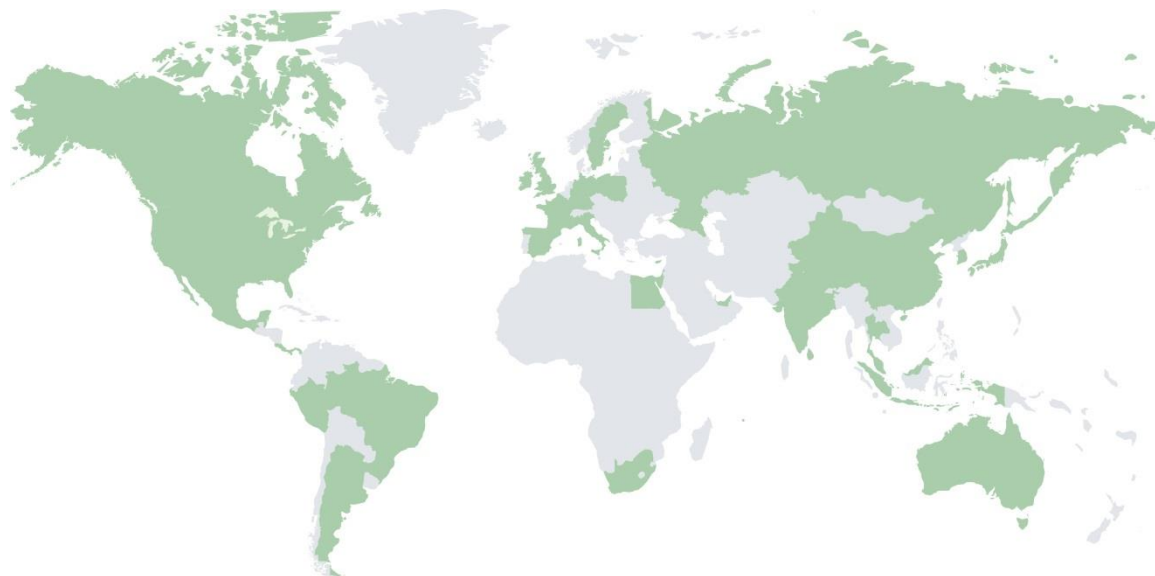
¹ Trailing twelve months ended September 30, 2016.

² Amount is a Non-GAAP measure. See Appendix for a reconciliation of this Non-GAAP measure to its comparable U.S. GAAP measure.

³ Debt outstanding at end of period.

⁴ On November 13, 2015, Moody's issued \$300 million of 5.25% senior unsecured notes due 2044 in a reopening of its existing series of such notes.

Moody's Global Presence



Americas

Argentina	Mexico
Brazil	Panama
Canada	Peru
Costa Rica	United States

Europe, Middle East & Africa

Cyprus	Poland
Czech Republic	Russia
Egypt	South Africa
France	Spain
Germany	Sweden
Ireland	Switzerland
Israel	UAE
Italy	United Kingdom
Mauritius	

Asia-Pacific

Australia	Malaysia
China	Nepal
Hong Kong	Singapore
India	Sri Lanka
Japan	Thailand
Korea	

Affiliates (Moody's Ownership)

China – CCXI (49%)
 Egypt – MERIS (40%)
 India – ICRA (50.06%)
 Israel – Midroog (51%)

2016	3,417 U.S. employees	+	7,440 non-U.S. employees	=	10,857 total employees ¹
2015	3,302 U.S. employees	+	6,945 non-U.S. employees	=	10,247 total employees ²

1 As of September 30, 2016.

2 As of September 30, 2015.

Reconciliation of Non-GAAP Financial Measures to GAAP

Adjusted Operating Income and Adjusted Operating Margin Reconciliation

(in \$ millions)	2011	2012	2013	2014	2015
As Reported Operating Income	\$888.4	\$1,077.4	\$1,234.6	\$1,439.1	\$1,473.4
Operating Margin	39.0%	39.5%	41.5%	43.2%	42.3%
Add Adjustment:					
Depreciation & Amortization	79.2	93.5	93.4	95.6	113.5
Restructuring	-	-	-	-	-
Goodwill Impairment Charge	-	12.2	-	-	-
Adjusted Operating Income	<u>\$967.6</u>	<u>\$1,183.1</u>	<u>\$1,328.0</u>	<u>\$1,534.7</u>	<u>\$1,586.9</u>
Adjusted Operating Margin	42.4%	43.3%	44.7%	46.0%	45.5%

Moody's Corporation Operating Margin Guidance Reconciliation

	2016F ¹
Projected Operating Margin - GAAP	Approximately 41%
Projected impact from Depreciation & Amortization	Approximately 4%
Restructuring	<u>Negligible</u>
Projected Adjusted Operating Margin	Approximately 45%

Moody's Corporation Free Cash Flow Guidance Reconciliation

(in \$ millions)	2016F ¹
Cash Flow from Operations	Approximately \$1.1 billion
Less Capital Expenditures	Approximately \$120 million
Free Cash Flow	Approximately \$1.0 billion

¹ Guidance as of October 21, 2016.

Reconciliation of Non-GAAP Financial Measures to GAAP (cont.)

Moody's Corporation EPS Reconciliation

	2010	2011	2012	2013	2014	2015	2016F ¹
Diluted EPS - GAAP	\$2.15	\$2.49	\$3.05	\$3.60	\$4.61	\$4.63	\$4.76 - \$4.86
Legacy Tax	(0.02)	(0.03)	(0.06)	(0.09)	(0.03)	(0.03)	-
Impact of litigation settlement	-	-	-	0.14	-	-	-
ICRA Gain	-	-	-	-	(0.37)	-	-
FX Gain due to Subsidiary Reorganization							(\$0.18)
Restructuring							\$0.04
Diluted EPS – Non-GAAP	\$2.13	\$2.46	\$2.99	\$3.65	\$4.21	\$4.60	\$4.62 - \$4.72

¹ Guidance as of October 21, 2016.

Note: Table may not sum to total due to rounding.

Reconciliation of Non-GAAP Financial Measures to GAAP (cont.)

Moody's Corporation EBITDA Reconciliation

(\$ Millions)	2006	2007	2008	2009	2010	2011	2012	2013	2014	2015	TTM ¹ 3Q 2016
Net Income attributable to Moody's	\$753.9	\$701.5	\$457.6	\$402.0	\$507.8	\$571.4	\$690.0	\$804.5	\$988.7	\$941.3	\$913.1
Provision for Income Taxes	\$506.6	\$415.0	\$268.2	\$239.1	\$201.0	\$261.8	\$324.3	\$353.4	\$455.0	\$430.0	\$414.1
Interest Expense, Net	(\$3.0)	\$24.3	\$52.2	\$33.4	\$52.5	\$62.1	\$63.8	\$91.8	\$116.8	\$115.1	\$131.9
Depreciation & Amortization	\$39.5	\$42.9	\$75.1	\$64.1	\$66.3	\$79.2	\$93.5	\$93.4	\$95.6	\$113.5	\$122.5
EBITDA	\$1,297.0	\$1,183.7	\$853.1	\$738.6	\$827.6	\$974.5	\$1,171.6	\$1,343.1	\$1,656.1	\$1,599.9	\$1,581.6

1 Trailing twelve months ended September 30, 2016.

Note: Table may not sum to total due to rounding.

Website: <http://ir.moodys.com>

Email: ir@moodys.com



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